

# Top 10 US Ideas Quarterly

## Introducing the Top 10 US Ideas for Q3 2026

Strategy

### High-conviction Ideas to Drive American Alpha

We present our new list of ten short-term stock recommendations among US stocks under coverage based on our view that these stocks could have significant market and business-related catalysts in the quarter ahead. For 3Q26, our Top 10 Ideas include nine Buys and one Underperform across ten sub-sectors. Our Buys are Ford Motor, IBM, Ionis Pharma, JPMorgan Chase, Knight-Swift, Snowflake, Spotify, Visa Inc, and Walmart. Our Underperform is Lennar Corp.

### Red, White, and Bullish (mostly)

BofA's RIC Outlook points to a largely bullish backdrop for the U.S. economy and global equities, with indicators confirming the "new industrial cycle" remains intact and earnings momentum strengthening. The Global Earnings Revision Ratio has improved to a six-month high, with particularly strong readings in the U.S. and broad-based upgrades across regions, while the Global Wave of macro data is rising in tandem with the earnings cycle—historically a supportive signal for equity returns. Although valuations and positioning suggest markets may be somewhat overheated in the near term, we think any summer pullback could be a potential buying opportunity, especially in real assets, credit, and value-oriented areas. See reports linked in the side bar for more on these themes.

### How this list will be maintained and updated

We will publish this list at the beginning of each quarter. Ideas will generally remain on the list through the quarter unless coverage is dropped or the rating changes. Any security that is removed will not be replaced. If there are changes to the list during the quarter, we will publish the change in a research report. Securities are intended to stay on the list for one quarter, although some may be chosen for the next quarter's list. We will publish performance quarterly.

**Table 1: Top 10 US Ideas List – 3Q26**

High-conviction, short-term stock recommendations for the quarter ahead.

| Company              | Ticker | Analyst              | Rating | Rec | Price    | PO       | Mkt Cap (bn) |
|----------------------|--------|----------------------|--------|-----|----------|----------|--------------|
| Ford Motor           | F      | Perry,Alexander      | C-1-7  | BUY | \$13.90  | \$20.00  | \$63,694.68  |
| Int Business Machine | IBM    | Mohan,Wamsi          | B-1-7  | BUY | \$281.21 | \$315.00 | \$267,716.92 |
| Ionis                | IONS   | Gerberry,Jason       | C-1-9  | BUY | \$79.29  | \$111.00 | \$12,325.28  |
| JP Morgan Chase      | JPM    | Poonawala,Ebrahim    | B-1-7  | BUY | \$327.33 | \$362.00 | \$820,571.45 |
| Knight-Swift         | KNX    | Hoexter,Ken          | B-1-7  | BUY | \$77.87  | \$84.00  | \$12,101.35  |
| Snowflake            | SNOW   | Ikeda,Koji           | C-1-9  | BUY | \$254.50 | \$300.00 | \$65,730.39  |
| Spotify              | SPOT   | Reif Ehrlich,Jessica | C-1-9  | BUY | \$459.13 | \$685.00 | \$95,154.32  |
| Visa                 | V      | O'Neill,Matthew      | B-1-7  | BUY | \$343.09 | \$410.00 | \$547,438.72 |
| Walmart              | WMT    | Nardone,Christopher  | B-1-7  | BUY | \$113.26 | \$144.00 | \$967,199.99 |
| Lennar Corporation   | LEN    | Jadrosich,Rafe       | B-3-7  | U/P | \$90.49  | \$77.00  | \$24,563.29  |

Source: BofA Global Research, Bloomberg

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### BofA Global Research Reports

| Title: Subtitle                                                                                                             | Primary Author                | Date Published |
|-----------------------------------------------------------------------------------------------------------------------------|-------------------------------|----------------|
| <a href="#">S&amp;P 500 Target Update: Mid-year 2026: take profits in S&amp;P/secular growth, buy Large Value/cyclicals</a> | Savita Subramanian            | 30 June 2026   |
| Global Wave: Macro and earnings converge                                                                                    | Nigel Tupper                  | 25 June 2026   |
| Global Earnings Revision Ratio: Broadening upgrades                                                                         | Nigel Tupper                  | 25 June 2026   |
| <a href="#">The RIC Report: Exceptional economy, remarkable markets</a>                                                     | Research Investment Committee | 10 June 2026   |

Trading ideas and investment strategies discussed herein may give rise to significant risk and are not suitable for all investors. Investors should have experience in relevant markets and the financial resources to absorb any losses arising from applying these ideas or strategies.

**BofA Securities does and seeks to do business with issuers covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision.**

**Refer to important disclosures on page 30 to 34. Analyst Certification on page 23. Price Objective Basis/Risk on page 20.**

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# Ford (F)

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## Buy, PO \$20

### 3Q investment thesis

We expect continued upward estimate revisions for Ford given: 1) Ford's primary North America market is better positioned compared to Europe/China given a protectionist trade agenda (no Chinese EV disruption), a favorable regulatory environment given the roll off of emission standards programs that allows Ford to produce its highest margin accretive ICE vehicles, and resilient demand despite higher gas prices, 2) mix benefit from shift to higher margin trims at F Blue including off-road & V8 trims, 3) Novelis recovery progressing better than expected, 4) outsized growth in F's high margin software & services business, 5) support from Ford's new battery energy storage business & the scaling of its new EV platform with the launch of an affordable pickup next year.

### Table 2: We highlight Ford as a 3Q26 top pick

F key stock data

| Industry                  | Automotive |
|---------------------------|------------|
| Market cap (mm)           | \$63,695   |
| Price                     | \$13.90    |
| P/E (2027)                | 6.8x       |
| % of sell-side rated Buy  | 21%        |
| Short Interest % of float | 2.93%      |

Source: BofA Global Research estimates, Bloomberg

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### Catalysts:

**Mix should improve from shift to higher margin trims at F Blue:** We think Ford should see a continued mix benefit as production shifts toward higher-margin trims, including the Ranger Raptor, Explorer Tremor, and potentially higher V8 penetration on the F-150. Ford had been under-producing certain margin-accretive products relative to demand given the prior regulatory backdrop, and we expect management to lean further into its truck/SUV profit pools as constraints ease. We think this reinforces Ford's exposure to the right North America profit pools, while Ford's middle-upper income truck/SUV customer base appears relatively resilient despite the recent period of higher gas prices.

**Expect Novelis recovery to support production and soften costs:** We think the Novelis, Ford's key aluminum supplier, Oswego plant recovery following a fire should lessen recent production volatility for Ford's high margin F-Series. Novelis' restart appears largely in line with Ford's expectations. This should help reduce reliance on alternatively sourced aluminum, where Ford expects a \$1.5-\$2.0bn headwind. Ford's F-Series production also appears to be improving, with May production the highest year-to-date.

**BESS opportunity offers diversification into faster growing end market:** We think customer announcements related to Ford's new battery energy storage system (BESS) offering could be a strong catalyst. We believe Ford is likely to emerge as a credible BESS competitor in a market where hardware differentiation is limited, but demand remains strong across utilities, data centers, and large C&I customers. Tesla remains the benchmark with Megapack, but Ford should benefit from strong brand recognition, its



commercial footprint, and a manufacturing/supply-chain strategy designed to align with ITC and domestic-content requirements, which can reduce eligible project costs by ~30%-40%.

**Software and services add high-margin growth lever:** We think Ford's software and physical services business offers another high-margin growth lever, with management targeting 8% annual revenue growth through 2030 off a ~\$15bn base in 2025. While Ford Pro represents the majority of current revenue, we see potential for growth to become increasingly weighted toward Ford Blue as BlueCruise expands across more vehicles and functionality advances toward eyes-off autonomy beginning in 2028. Ford also sees opportunity to take share in parts from independents by expanding its catalogue and refining pricing, which could help reduce the perceived premium to consumers while supporting higher-margin recurring revenue.

#### BofA Global Research Reports

| Title: Subtitle                                                                                                     | Primary Author  | Date Published |
|---------------------------------------------------------------------------------------------------------------------|-----------------|----------------|
| <a href="#">Automotive Industry: Weekly automotive pit stop: Thoughts on recent Ford rally</a>                      | Alexander Perry | 29 May 2026    |
| <a href="#">Ford Motor: NDR Takeaways: See benefits from mix, UEV scaling, &amp; software &amp; services growth</a> | Alexander Perry | 07 May 2026    |
| <a href="#">Ford Motor: Tariff adjustment &amp; timing of investments help drive 1Q beat</a>                        | Alexander Perry | 30 April 2026  |
| <a href="#">Automotive Industry: Switching lanes in 2026: Reinstating coverage on N. American Autos/Auto-tech</a>   | Alexander Perry | 04 March 2026  |

**Upside risks:** Upside risks to our PO are: 1) continued resilience in US light vehicle auto sales, 2) better than expected growth in higher margin revenue streams, incl. software & services and Ford Energy, 3) mix and pricing remain favorable, and 4) stronger production of ICE SUVs/trucks.

**Downside risks:** Downside risks to our PO are: 1) material downturn in US auto sales from weak consumer confidence & affordability challenges, 2) a sharp and sustained rise in input costs, 3) disruption in the supply base, 4) a sustained period of higher gas prices, 5) new vehicle pricing deteriorates, and 6) F energy ramps slower than expected.

**Company Description:** Ford Motor is one of the world's largest vehicle producers, with over 4mm units manufactured/sold globally under the Ford and Lincoln brands. In 2023, Ford re-segmented the business into Ford Blue, Ford Model e, Ford Pro, and Ford Credit. Most recently, Ford announced its entrance into the Battery Energy Storage Systems (BESS) market through Ford Energy, which plans to provide U.S.-assembled storage solutions for utilities, data centers, and large industrial/commercial customers. Ford's primary profit center remains North America, though the company also operates across Europe, South America, and Asia Pacific/China. Ford remains focused on positioning itself for the evolving auto industry through balanced investments across ICE/hybrid trucks and SUVs, electrification, software/services, autonomy, and mobility-adjacent opportunities.



# International Business Machines (IBM)

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## Buy, PO \$315

### 3Q investment thesis

We expect IBM to be well positioned into 3Q, supported by: 1) a decent F2Q setup that should reinforce the durability of the Software segment 2) Software growth that appears more resilient than recent broader software concerns imply, 3) Consulting expectations that have already been reset to a low bar, 4) continued Red Hat, Data, and Automation momentum, with Data benefiting from Confluent and strong organic trends, 5) underappreciated Infrastructure strength across distributed infrastructure, storage, and Power, 6) FCF durability supported by productivity, mix, and disciplined execution, and 7) quantum as an increasingly visible strategic catalyst where IBM appears to be receiving limited credit today. The broader pullback in software (from agentic AI concerns) and the Consulting-related pressure following peer commentary appear overdone in IBM's case. IBM's software portfolio is concentrated in the infrastructure layer where AI adoption should increase the need for hybrid cloud platforms, governed data, automation, and secure transaction processing rather than displace demand and Consulting represents only a minority of IBM's mix. Our PO of \$315 is based on 21x our C27 EV/FCF.

**Table 3: We highlight Int Business Machine as a 3Q26 top pick**

IBM key stock data

| Industry                  | IT Services |
|---------------------------|-------------|
| Market Cap (mn)           | \$267,717   |
| Price                     | \$281.21    |
| P/E (2027)                | 21.9x       |
| % of sell-side rated Buy  | 71%         |
| Short interest % of float | 3.21%       |

Source: BofA Global Research estimates, Bloomberg

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### Catalysts:

**F2Q should support a better F3Q setup:** IBM guided F2Q constant-currency revenue growth to be similar to F26 of >5%, with operating pre-tax margin expansion of ~50bps as software mix and productivity are partly offset by Confluent dilution. For F26, IBM expects >5% constant-currency revenue growth, ~\$1bn y/y FCF growth, Software growth of 10%+, Consulting growth in the low-to-mid single-digit range, and Infrastructure down low-single-digits, lapping difficult Z17 compares. We expect F2Q to be broadly consistent with this framework, with the potential for modest upside from better Software growth, including Data / Confluent and continued Automation strength, with slight acceleration in Red Hat (lapping tougher comps). Consulting expectations remain low but potential for stronger than guided growth in the 2H as enterprise AI adoption accelerates. Infrastructure trends should benefit from demand across Power, Storage, and broader hybrid infrastructure. A solid F2Q would help reinforce the durability of IBM's model and leave the company better positioned into 3Q.

**Software concerns look overdone given IBM's portfolio:** Recent software pressure has centered on whether agentic AI could disrupt traditional application software, but IBM's portfolio is tied to the infrastructure layer of enterprise IT which should benefit from agentic AI/enterprise AI adoption due to complexity created by more models, agents, workflows, and data movement across hybrid environments. IBM has emphasized that only a very small portion of its Software portfolio is application-like and we see IBM as better positioned for AI-driven software demand than the broader software pullback has implied.



**Consulting concerns overdone relative to the size and setup of the business:**

Consulting is also only ~15% of IBM, so treating the recent pressure as evidence of a broader IBM demand issue appears too punitive, particularly given signings returned to growth in 1Q and AI is already embedded across a meaningful portion of backlog.

**Quantum provides an underappreciated catalyst:** Quantum should become a more visible part of the IBM story as interest increases (given recent pure-play Quantum IPOs). IBM reiterated in F1Q that it remains on track to deliver its first large-scale fault-tolerant quantum computer by 2029 and noted that partners could achieve the first examples of quantum advantage this year using IBM hardware. More recently, IBM and the U.S. Department of Commerce announced an LOI to create Anderon, a standalone U.S. quantum chip foundry supported by a proposed \$1bn CHIPS award and a \$1bn IBM cash contribution, followed by IBM announcing plans to invest more than \$10bn in quantum over the next five years. We view these announcements as material for IBM's quantum leadership to receive greater attention and see IBM's quantum business providing optionality for the stock.

**BofA Global Research Reports**

| <b>Title: Subtitle</b>                                                                                                                      | <b>Primary Author</b> | <b>Date Published</b> |
|---------------------------------------------------------------------------------------------------------------------------------------------|-----------------------|-----------------------|
| <a href="#">International Business Machines Corp.: Takeaways from "View from the Top" Call with IBM CEO Arvind Krishna</a>                  | Wamsi Mohan           | 10 March 2026         |
| <a href="#">International Business Machines Corp.: An acquisition of Confluent inline with Hybrid Cloud/AI strategy</a>                     | Wamsi Mohan           | 08 December 2025      |
| <a href="#">International Business Machines Corp.: Red Hat: A deeper look into the portfolio and drivers of growth</a>                      | Wamsi Mohan           | 01 December 2025      |
| <a href="#">International Business Machines Corp.: Quick thoughts from IBM's Quantum Investor Day at Watson Research Center</a>             | Wamsi Mohan           | 31 October 2025       |
| <a href="#">International Business Machines Corp.: Why is there so much volatility in Transaction Processing?</a>                           | Wamsi Mohan           | 29 July 2025          |
| <a href="#">International Business Machines Corp.: A Deep Dive on Bull/Bear cases for IBM stock: PO to \$320</a>                            | Wamsi Mohan           | 18 June 2025          |
| <a href="#">International Business Machines Corp.: Transaction Processing: a deep dive into the history, pricing and opportunity</a>        | Wamsi Mohan           | 28 May 2025           |
| <a href="#">International Business Machines Corp.: Will the z17 cycle be better than the prior cycles? Deep dive into historical cycles</a> | Wamsi Mohan           | 29 April 2025         |

**Upside risks:** 1) faster reacceleration of topline, 2) faster improvement in margins, 3) better-than-expected accretion from M&A, and 4) delivery of upside to FCF.

**Downside risks:** 1) failure to execute on the company's growth roadmap, 2) inability to realize expected cost savings from restructuring, 3) technology/competitor risk in hardware, software, and services, 4) unforeseen currency impacts on revenue and profits, 5) acquisition integration, given IBM's acquisitive nature, and 6) increased concern of economic uncertainty and tightening corporate IT budgets.

**Company Description:** IBM is a global technology company focused on hybrid cloud, AI, software, consulting, infrastructure, and financing. The company reports through four



primary segments: Software, Consulting, Infrastructure, and Financing. Software includes Hybrid Cloud / Red Hat, Automation, Data, and Transaction Processing. Consulting includes Strategy and Technology and Intelligent Operations. Infrastructure includes Hybrid Infrastructure, including IBM Z and Distributed Infrastructure, and Infrastructure Support. IBM's strategy is centered on helping large enterprise clients modernize core systems, deploy AI across hybrid environments, govern data and workflows, and run mission-critical workloads with security, resiliency, and scale.

## Ionis (IONS)

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## Buy, PO \$111

### 3Q investment thesis

We see favorable risk/reward for IONS ahead of busy 3Q/2H26 catalyst period, led by: 1) new drug launch (Tryngolza for sHTG) with sizable peak sales potential (~\$3bn). Competitor Arrowhead's Ph3 readout (3Q) is an overhang on the stock, and IONS' own Ph3 data has set a high bar to beat; 2) key Ph3 readout that could expand a key royalty product (Wainua) into TTR-cardiomyopathy, a much bigger market than the current polyneuropathy indication; 3) a competitor readout with potential upside-skewed readthrough to an underappreciated pipeline program of IONS (obudanersen for Angelman); 4) call option for an Alzheimer's program (diranersen) that has detailed data expected in July; 5) Ph3 readout expected for a novel cardiovascular mechanism (Lp(a)), where expectation is relatively low. Some of these catalysts could slip into early 4Q, but investors generally position their trade ahead. Our PO of \$111 is based on a SOTP DCF.

### Table 4: We highlight Ionis as a 3Q26 top pick

IONS key stock data

| Industry                  | Biotech / Biopharma |
|---------------------------|---------------------|
| Market Cap (mn)           | \$12,326            |
| Price                     | \$79.29             |
| P/E (2028)                | 22.4x               |
| % of sell-side rated Buy  | 84%                 |
| Short interest % of float | 11.03%              |

Source: BofA Global Research estimates, Bloomberg

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### Catalysts:

**New drug launch and competitor data readthrough in sHTG:** following [the approval of Tryngolza for sHTG with a solid label](#) (see our report), we will look for IONS' commentary on early launch metrics on the 2Q call (August). Our [recent physician survey](#) (see our report) pointed to faster early adoption, with the main risk to upside speed of payer adoption. Competitor Arrowhead will have Ph3 Redemplo readout for sHTG in 3Q. The anticipation of the event has been an overhang to IONS stock. We believe IONS' Ph3 data has set a high bar to beat on efficacy, while IONS' benign label has reduced room for Redemplo to differentiate on safety (liver fat). We see sHTG as a large market (~\$6bn US) that can accommodate both companies, and we model a split market share between Tryngolza and Redemplo (\$3bn peak each).

**Two cardiovascular Ph3 readouts in 2H26:** IONS will have Ph3 readouts of pelacarsen (partnered with Novartis) in mid/3Q26E and Wainua (CardioTTRansform) partnered with AstraZeneca) in 2H26E (we estimate Sept/Oct). We think the more impactful readout is on CardioTTRansform – the TTR approach has been de-risked by



competitors' prior Ph3 successes, but there is an opportunity to broaden the market and differentiate based if sub-group data establish combination with standard of care (tafamidis) offers added clinical benefit. We model \$4bn nominal peak sales of Wainua or ~\$600m royalty to IONS. On pelacarsen, the Ph3 HORIZON readout was originally expected in 1H25, but the trial delays have been attributed to slower event accrual with no early stoppage after first two interim analyses, raising some questions on Ph3 treatment effect size. The upside/downside for IONS from HORIZON is limited by partnership economics & peak sale constraints.

**Additional readouts with upside skewed risk/reward setup:** IONS' partner Biogen will present full Ph2 data of diranersen in early Alzheimer's at AAIC (July 12-15). For IONS, we think investor expectations for the program are low, given the [topline press release](#) (see our report) offered limited data and the optics of missing the primary endpoint on dose response is mixed. That said, Biogen/Ionis advancing the program to pivotal suggest some option value remains. On Angelman, competitor Ultragenyx will have Ph3 readout in 2H – a positive topline would de-risk IONS' program (similar mechanism) ahead of IONS' Ph3 readout in 2027E, while mixed results could reduce competition considering robustness of [IONS' own Ph1/2 data](#) (see our report).

### BofA Global Research Reports

| Title: Subtitle                                                                                        | Primary Author    | Date Published |
|--------------------------------------------------------------------------------------------------------|-------------------|----------------|
| <a href="#">Ionis: Tryngolzas HTG approved slightly ahead of time with a favorable label</a>           | Jason M. Gerberry | 24 June 2026   |
| <a href="#">Ionis: Tryngolza survey points to faster early adoption; upside to launch payer gated</a>  | Jason M. Gerberry | 11 June 2026   |
| <a href="#">Ionis: Tau/Alzheimer's topline inconclusive, but Ph3 advancement suggests option value</a> | Jason M. Gerberry | 14 May 2026    |
| <a href="#">Ionis: Angelman: broad efficacy observed with favorable safety; program moving to Ph3</a>  | Jason M. Gerberry | 22 July 2024   |

**Upside risks to our PO:** 1) delay to regulatory approval of competitors' drug products, 2) failure of competitors' clinical trials, 3) better than expected clinical data readouts.

**Downside risks to our PO:** 1) key product sales underperform relative to our forecast, 2) failure of key clinical trials, 3) competitor clinical data outperform vs. our expectation.

**Company description:** Ionis Pharmaceuticals is a commercial-stage biotech company focused on discovery and development of RNA-targeted therapeutics. The company's has a platform of antisense and siRNA technology, which aims to modify/reduce the production of disease-causing proteins by binding/destroying RNA so that the amount of disease-causing protein is dramatically decreased. IONS commercializes wholly-owned products as well as collects royalties on partnered drugs.

**Acronyms:** 1) sHTG: severe hypertriglyceridemia, 2) TTR: transthyretin, 3) Lp(a): lipoprotein (a), 4) AAIC: Alzheimer's Association International Conference, 5) RNA: ribonucleic acid, 6) si: small interfering.



# JP Morgan Chase (JPM)

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## Buy, PO \$362

### 3Q investment thesis

We view JPM as offering the most asymmetric risk/reward among the large-cap banks given a stock that trades at a modest premium to Main Street bank peers – 13x 2027 P/E vs. 11x – and a steep discount to Wall Street pure-plays (trading at ~16x) and the S&P (~20x). This despite a dominant positioning across all businesses, positive gearing to a higher for longer interest rate environment, 50% of revenues driven by fees, unmatched investment spend (including AI and digital assets) that should lead to superior growth and operating leverage over the medium term, and significant excess capital (\$57bn or 280bp in CET1 over 11.5% regulatory minimum). We forecast a ~22% average ROTCE over FY26-28 vs 14% for peers. Our EPS outlook implies ~10.2% average EPS growth (potential for upside surprise).

JPM's commitment toward digital (such as launch of the UK retail bank, investment in Brazilian bank C6, Blockchain platform Onyx, JPM Coin, dozens of Fintech acquisitions) combined with the talent to navigate a rapidly changing banking landscape sets the bank apart from peers, in our opinion. Our \$362 PO is based on 50% FY26e P/E and 50% FY26e P/TBV. We assign 17x to FY26e EPS, 3.0x YE26e TBV, above the 5-year pre-pandemic average (11.8x/1.7x, respectively) due to the bank's best-in-class revenue generation and better EPS defensibility.

**Table 5: We highlight JP Morgan Chase as a 3Q26 top pick**

JPM key stock data

| Industry                  | US Banks  |
|---------------------------|-----------|
| Market Cap (mn)           | \$820,571 |
| Price                     | \$327.33  |
| P/E (2027)                | 13.3x     |
| % of sell-side rated Buy  | 55%       |
| Short interest % of float | 1.14%     |

Source: BofA Global Research estimates, Bloomberg

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### Catalysts:

**CEO Jaime Dimon extended runway.** The announcement of Marianne Lake's retirement, in our view, points to several additional years of Chairman and CEO Jamie Dimon at the helm, which we believe will be well received by shareholders. Dimon continues to demonstrate a high level of engagement across the franchise and, in our opinion, remains best positioned to guide the bank through a period of anticipated industry transformation driven by AI adoption and digital asset innovation. This comes alongside an evolving regulatory backdrop that may unlock incremental growth opportunities, albeit with associated risks.

**Boost from higher-for-longer rates.** JPM is set to benefit from a higher-for-longer rate backdrop, with the Fed no longer expected to deliver cuts and the prior NII headwinds from declining rates now reversing. In earlier rate-cut scenarios, NII came under pressure as asset yields declined faster than liabilities could reprice (e.g., ~83bps YoY decline in IORB implied an ~\$2bn drag). With that dynamic shifting (for e.g., given no further changes to the fed funds rate through the end of the year, average IORB decline would be 62 bps), JPM's asset-sensitive balance sheet becomes a key tailwind.





As a result, in a stable or rising rate environment, we think asset yields should reprice faster than interest bearing liabilities and therefore drive NII higher. Importantly, this benefit is concentrated in NII ex. markets, which is viewed as more durable/stickier, supporting both near-term upside and sustained benefits carrying into FY2027 and FY2028 as repricing flows through the balance sheet.

**Capital Markets Momentum.** JPM is well positioned to benefit from the strong capital markets momentum across its investment banking (M&A, ECM, DCM) and trading businesses. Combined with a normalizing regulatory backdrop should allow management to deploy excess capital towards organic growth opportunities.

**Expense Guidance de-risked.** JPM's expense outlook remains consistent despite the modest increase to ~\$106bn (from \$105bn) during the recent Bernstein Conference, with management indicating the step-up is largely driven by stronger underlying revenue performance rather than incremental cost pressure. At the same time, fee income is tracking ahead of expectations. As a result, the combination of relatively stable expenses and improving fee income should drive positive operating leverage, implying upside to net income versus prior expectations.

#### BofA Global Research Reports

| Title: Subtitle                                                     | Primary Author       | Date Published |
|---------------------------------------------------------------------|----------------------|----------------|
| <a href="#">JPMorgan Chase &amp; Co.: Five More Years (or More)</a> | Ebrahim H. Poonawala | 25 June 2026   |
| <a href="#">JPMorgan Chase &amp; Co.: Puzzling</a>                  | Ebrahim H. Poonawala | 16 April 2026  |

**Upside risks:** Upside risks to our PO are: 1) better-than-expected credit quality (i.e., lower loan losses); 2) better interest rate defensibility; 3) a stronger than expected backdrop for investment banking and trading activity.

**Downside risks:** Downside risks to our price objective are: 1) macro risks, such as a faster pace to rate cuts; 2) additional regulatory requirements; 3) scrutiny of the financials industry.

**Company Description:** J.P. Morgan Chase (JPM) is one of the leading global financial services firms and one of the largest banking institutions in the US, with nearly \$4 trillion in assets. The company as it is today formed through the merger of retail bank Chase Manhattan and investment bank JP Morgan. The firm has many operating divisions including investment and corporate banking, asset and wealth management, retail financial services, commercial banking, credit cards, and financial transaction services.

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## Buy, PO \$84

### 3Q investment thesis

Capacity is being removed from truckload sector, and spot rates are rising (up 50% year-year). This creates an exceptional backdrop (which keeps improving at multiple levels since our October upgrade), and augurs well for double-digit contractual rate increases. The removal of truckload capacity is led by the Administration's safety focus and crackdown on English Language Proficiency, eliminating/restricting non-domiciled (foreign) CDLs, culling non-compliant electronic logging devices (ELDs), and closing CDL license mills. This has led to increased Truck carrier bankruptcies as inefficient carriers, without access to low-cost drivers, are unable to compete. Our \$84 PO on KNX shares is based on 29.5x our 2027e EPS, above its 14x-26x range, as earnings recover from trough in '24 led by improving capacity/supply dynamics, which we expect to further support mid-cycle earnings power. This is also shy of 20x a mid-cycle EPS assumption, if peak earnings ultimately rise to ~\$8-\$9/sh..

#### Table 6: We highlight Knight-Swift as a 3Q26 top pick

KNX key stock data

| Industry                  | Transportation |
|---------------------------|----------------|
| Market Cap (mn)           | \$12,101       |
| Price                     | \$77.87        |
| P/E (2027)                | 27.4x          |
| % of sell-side rated Buy  | 78%            |
| Short interest % of float | 6.03%          |

Source: BofA Global Research estimates, Bloomberg

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### Catalysts:

**Knight-Swift's spot exposure has risen to the mid-teens and could scale higher depending on bid season outcomes.** KNX reiterated its 2Q26 outlook assumes Truckload adj operating ratio improvement of 100-200 bps year-year (or 300 bps sequentially; we are 92.7%, a 310 bps 1Q-2Q improvement), led by stable fleet levels, improving miles post-1Q26 weather impacts, and early benefit from spot rate gains, with contract pricing expected to contribute more meaningfully in 2H26.

### Tight capacity sets up strong-than-anticipated 4Q26 peak season rate backdrop.

During our Hoexter's 20-Minute call with CEO Adam Miller, KNX noted it is seeing 4Q peak discussions with customers occur earlier than normal given customer capacity concerns.

**Our bi-weekly BofA Truck Shipper Survey suggests underlying demand is holding steady despite concerns of demand destruction** from elevated fuel prices (which fell 7% to \$72/bbl over the past week), while Inventory views are balanced, capacity views are near all-time lows, and pricing views are near all-time highs (on capacity removal). We view this as a strong setup with steady demand as ongoing capacity cuts continue, and possibly indicative of some pre-shipping activity.

### BofA Global Research Reports

| Title: Subtitle                                                                                                                            | Primary Author | Date Published |
|--------------------------------------------------------------------------------------------------------------------------------------------|----------------|----------------|
| <a href="#">Transportation - Trucking: Survey Says: Demand view (61.4) down slightly, yet rates view nears all-time highs</a>              | Ken Hoexter    | 12 June 2026   |
| <a href="#">Knight-Swift Transportation Holdings Inc: Hoexter's 20-min call: KNX sees pricing power as capacity exits ramp; PO to \$84</a> | Ken Hoexter    | 27 May 2026    |
| <a href="#">Knight-Swift Transportation Holdings Inc: Raises bid season pricing targets on structural tightening; PO to \$72</a>           | Ken Hoexter    | 23 April 2026  |



**Upside risks:** Upside risks to our price objective are a faster than expected macro recovery, continued truckload capacity exits, acceleration in spot trucking rates, better than expected pricing renewals and higher fleet growth.

**Downside risks:** Downside risks to our price objective are volatility at its truckload segment (particularly its historical USX/SWFT segments, which is more exposed to large retail and project pricing), slower earnings growth from its LTL acquisitions, weaker-than-expected economic conditions, an inability for the company to have trucking rates offset rising costs (driver pay, insurance, depreciation, and fuel), a severe accident impacting the company's image and finances, over-expanding (or acquiring assets) without maintaining its focus on cost controls, and a lack of growth opportunities.

**Company Description:** Knight-Swift is a truckload carrier with 22,000+ tractors and sizable brokerage, Less-than-truckload, and Intermodal operations. The company provides dry-van, refrigerated, Intermodal (port) drayage, brokerage (truck and rail) and less-than-truckload services. The former KNX operated one of the most efficient truckload businesses, driven by its extreme focus on cost per mile, which led it to a mid-80's OR. Following its Swift and USX acqs, KNX is the largest trucking company in the US.

## Snowflake (SNOW)

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### Buy, PO \$300

#### 3Q investment thesis

We think Snowflake is proving to be a beneficiary of AI in its AI Data Cloud opportunity, which can be seen with accelerating growth in its key metric, Product revenue. In its most recently reported quarter (F1Q27 / CY1Q26), Product revenue growth accelerated 4 points sequentially to +34% y/y, from +30% in the prior quarter. Also, the magnitude of the Product revenue beat from the midpoint of its guide increased to 5.5%, much higher than the 2.4% in F4Q26. We think strong results can keep going, potentially driving estimates and its valuation multiple higher. Drivers of growth is likely to come from: 1) broad-based demand strength for its core data platform, 2) AI tailwinds driving faster consumption, 3) and deeper user penetration across its customer base. Our \$300 PO is based on 14.7x EV/CY27E revenue, a premium to infrastructure peers at 5.8x for faster revenue growth (+25% y/y in FY28/CY27 versus +15% peers) and category leadership.

#### Table 7: We highlight Knight-Swift as a 3Q26 top pick

SNOW key stock data

| Industry                  | Software |
|---------------------------|----------|
| Market Cap (mn)           | \$65,730 |
| Price                     | \$254.50 |
| EV/Revenue (CY27)         | 11.0x    |
| % of sell-side rated Buy  | 89%      |
| Short interest % of float | 6.61%    |

**Source:** BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH



**Catalysts:**

**AI products driving higher than expected platform consumption:** Accelerating usage of Snowflake's AI products (Cortex Code, etc.) across its customer base could drive better than expected growth – catalyzing shares higher. Cortex Code is used by 51% of the customer base and strong early usage trends contributed to management's strong updated outlook for FY27 where the Product revenue growth guide was raised by 4 points to +31%. Snowflake also announced a slate of new products like Datastream, Storage for Apache Iceberg Tables, and Cloud Agents at its annual [customer conference Summit](#) (see our note published 6/2) which can also help drive growth over the medium-term.

**Potential for product revenue growth acceleration next quarter:** If Snowflake can beat the midpoint of its Product revenue guide by 3.5%, this would imply Product revenue growth of +34.6%, which is an acceleration from +33.9% last quarter. This would likely be a catalyst. For comparison, the 3.5% beat magnitude in the scenario above is lower than the 5.5% beat registered in F1Q27. What would drive this? Core platform consumption acceleration, and strong usage of new AI. At the [Investor Day](#) this past June, (see our note published 6/2), Snowflake announced Cortex Code is available across Desktop, Excel, Snowsight, and VS Code, making it easier for non-technical personas to use the products and drive higher platform consumption, a positive.

**BofA Global Research Reports**

| <b>Title: Subtitle</b>                                                                                  | <b>Primary Author</b> | <b>Date Published</b> |
|---------------------------------------------------------------------------------------------------------|-----------------------|-----------------------|
| <a href="#">Snowflake: SNOWing in June, conference and Investor Day takeaways</a>                       | Koji Ikeda, CFA       | 02 June 2026          |
| <a href="#">Snowflake: That's not a flurry, that's a blizzard of demand; Reiterate Buy, PO to \$300</a> | Koji Ikeda, CFA       | 27 May 2026           |
| <a href="#">Snowflake: New Project SnowWork could drive higher platform usage</a>                       | Koji Ikeda, CFA       | 18 March 2026         |
| <a href="#">Snowflake: The Cortex Code snowball is just starting to roll</a>                            | Koji Ikeda, CFA       | 16 March 2026         |

**Upside risks:** 1) Better than expected revenue growth driven by AI products, 2) accelerating core platform usage driving higher than expected growth, 3) accelerating pace of new product adoption that can drive higher usage across customers.

**Downside risks:** 1) Competition gets better, eroding the value proposition, 2) losing share in the AI business intelligence opportunity, 3) revenue growth decelerates at a much higher magnitude than expected.

**Company Description:** Snowflake (NYSE: SNOW) is an AI Data Cloud Vendor that helps customers drive business intelligence and analytics. Products span from core Data Warehouse, to newer AI tools like Cortex Code, Cortex AI, and Intelligence. Snowflake was founded in 2012 by Benoit Dageville and Thierry Cruanes and is headquartered in Bozeman, Montana.

## Spotify (SPOT)

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## Buy, PO \$685

### 3Q investment thesis

SPOT is our top pick in Media & Entertainment. SPOT's investor day marked a clear strategic shift from mainly scaling users to monetizing engagement through segmentation, pricing and higher-value experiences. We now see even greater clarity for continued profit and FCF growth including long subscriber net add runway, price increases, new tiers (including the recently announced AI-driven music remix tier), advertising ramp, further penetration of incremental services including podcasting, audiobooks and fitness. The investor day laid out an impressive compelling product roadmap and attractive financial targets, and now the focus will turn to execution.

We positively view SPOT's ability to hit investor day financial targets, as we see the sustainability of the company's margin and profit growth as well as FCF generation driven by: 1) pricing power, 2) new tiers (in particular, recently announced AI tier) 3) continued audiobooks rollout (across new languages) driving gross margin expansion, 4) continued subscriber growth, 5) an improvement in advertising (2H weighted) driven by digital initiatives and programmatic, 6) continued rollout of new products (i.e. fitness) and 7) operating leverage.

The overall macro environment is changing rapidly, but we remain confident that SPOT can outperform. SPOT is well positioned even if the economic environment were to worsen due to its strong subscription model as well as a still fairly small advertising business that should be insulated from broader ad market weakness. On AI, although concerns are difficult to disprove in the near term, we believe concerns of disruption from new platforms are overblown. We believe AI can be a positive driver of new tools, engagement and monetization on SPOT's platform.

Our \$685 PO is based on ~29x our CY27E FCF forecast. We believe SPOT has multiple drivers to sustainably grow FCF.

### Table 8: We highlight Spotify as a 3Q26 top pick

SPOT key stock data

| Industry                  | Media / Entertainment |
|---------------------------|-----------------------|
| Market Cap (mn)           | \$95,154              |
| Price                     | \$459.13              |
| P/E (2027)                | 28.1x                 |
| % of sell-side rated Buy  | 85%                   |
| Short interest % of float | 5.13%                 |

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

### Catalysts:

**Launch of AI-driven music tier:** At their recent investor day, SPOT announced a new AI-driven music remix/creation tier, enabled by a licensing agreement with the largest of the record companies, Universal Music Group (UMG) (>30% share of the global recorded music market). While the agreement was limited to UMG, we anticipate similar agreements ahead with the other labels. The product will allow users to legally create and distribute remixes and covers using licensed catalogs, with revenue shared across SPOT, artists, and songwriters. In our view, SPOT is prudently taking a label and artist friendly approach and ensuring the product is appropriately positioned ahead of the launch. This product will be launched as a paid add-on to premium, targeting highly engaged users and opens up a new monetization pool.

**Earnings results (8/4):** We believe that SPOT's 2Q26 results will reflect stable underlying trends across key KPIs, with reported revenue growth accelerating in the quarter primarily driven by moderating FX headwinds. More importantly, investor focus will turn to 3Q26 guidance as well as any further commentary related to the CY26 outlook. We continue to anticipate subscriber additions weighted to 2H, supported by



marketing initiatives, a larger MAU base to convert to premium subscribers, and potential new product rollouts.

#### BofA Global Research Reports

| Title: Subtitle                                                                        | Primary Author       | Date Published |
|----------------------------------------------------------------------------------------|----------------------|----------------|
| <a href="#">Spotify Technology: We are Super Fans</a>                                  | Jessica Reif Ehrlich | 21 May 2026    |
| <a href="#">Spotify Technology: Looking to the Next Verse of Growth</a>                | Jessica Reif Ehrlich | 18 May 2026    |
| <a href="#">Spotify Technology: Looking for a better tune at upcoming investor day</a> | Jessica Reif Ehrlich | 28 April 2026  |

**Upside risks:** Upside risks to our price objective are faster-than-expected revenue growth and margin expansion, advertising traction, upside from AI tier rollout, increased market share, increased operating leverage and traction from new growth initiatives.

**Downside risks:** Downside risks to our price objective are increased churn from price increases, MAU growth slowdown, margin pressure, increased content costs, reduced streaming market share, loss of share to AI music startups and slower revenue growth.

**Company Description:** SPOT owns the largest streaming music subscription service in the world, controlling a ~1/3 market share of the premium music streaming market. SPOT generates roughly 90% of its revenues from premium service subscriptions and roughly 10% of its revenue from advertising via the company's free, limited-access streaming service along with original and exclusive podcasts.

## Visa Inc (V)

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### Buy, PO \$410

#### 3Q investment thesis

F3Q26 Investment Thesis: Visa is our top way to own the secular cash-to-electronic shift: a durable double-digit revenue/teens-EPS compounder with a wide debit and credit moat, a fast-growing value-added-services engine (~30% of net revenue), and \$33B of buyback firepower. It trades 3x below its five-year average forward PE, continuing to discount both regulatory and disintermediation overhangs we view is overstated. Visa remains a high-quality franchise at a defensive multiple into a catalyst-rich window.

Why now - a trough inflection trade. The April-June F3Q quarter should mark the cyclical low for cross-border travel as the Middle East corridor disruption peaked. With Visa's 25% cross-border revenue mix, the highest yield line is positioned to reaccelerate into F2H, while higher fuel prices remain an inflationary tailwind.



**Table 9: We highlight Visa as a 3Q26 top pick**

V key stock data

| Industry                  | Consumer Finance |
|---------------------------|------------------|
| Market Cap (mn)           | \$547,439        |
| Price                     | \$343.09         |
| P/E (2027)                | 23.3x            |
| % of sell-side rated Buy  | 96%              |
| Short interest % of float | 1.29%            |

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

**Catalysts:**

**F3Q26 earnings (~July 28th).** Three things to watch: 1. Cross-border: the start of quarter, July month-to-date cross-border volume disclosure should point to an inflection off the June quarter trough and help validate the guided 2H acceleration. 2. VAS momentum: now ~30% of net revenue and compounding >25% constant currency, the fastest-growing part of the business and the clearest evidence the model is diversifying beyond pure transaction economics. 3. Consumer read: Visa's ~70% US debit share is the cleanest real time tell on the low end, which has been stabilizing YTD.

**FIFA World Cup inbound (June 11th – July 19th).** Incremental inbound cross-border into high-yield corridors builds through F2H concentrated in the travel and entertainment spend Visa monetizes. To be clear on timing, Visa is a sponsor so marketing expense peaks concurrently in F3Q, while the volume and VAS benefits skews to F4Q and beyond.

**Margins and back half pricing.** Near-term EPS growth is expected to step down from F2Q's level, given an expectation for incentives to peak, there to be VAS mix-dilution, and the previously mentioned marketing tied to the World Cup. These dynamics are well telegraphed by management and offsets include, 2H-loaded pricing guided to build through F3Q/F4Q, which alongside the meaningful buyback authorization, sets up mid-teens EPS growth through FY27.

**Legal/regulatory de-risking.** Judge Cogan's June 9th preliminary approval on MDL 1720 is a positive step in the 20-year+ litigation process. Illinois IFPA (no interchange on tax&tip) was blunted by federal preemption. DOJ vs. Visa remains in discovery and could lead to trial in 2027-2028. Credit Card Competition Act (CCCA) has failed now multiple rider attempts, lowering its probability of success. EU approved a digital Euro framework, but earliest issuance will be 2029.

**Stablecoin & agentic optionality crystallizing.** Momentum out of the June 10th Visa Payments Forum is building with settlement run rate ~\$7B annualized (+~50% q/q) across 9 chains, OpenAI agentic checkout integration, and Genius Act framework as tailwinds. The disintermediation concern is a misunderstanding on three levels: 1. Front end: consumers will keep choosing cards for rewards and dispute/fraud protections that stablecoins don't replicate (a durable behavioral moat at checkout). 2. Back end: stablecoins reshape settlement where Visa remains in the flow at similar economics rather than getting bypassed. 3. New frontier: nano transactions are a net-new TAM, not cannibalization of existing volume, machine-to-machine micropayments likely get bundled (often onto card rails), networks participate in authorization and trust layers, and investments being made now represent future optionality.

**BofA Global Research Reports**

| Title: Subtitle                                                                                 | Primary Author | Date Published |
|-------------------------------------------------------------------------------------------------|----------------|----------------|
| <a href="#">Consumer Finance: 5.5% Credit card spend growth, but May data was not all clear</a> | Mihir Bhatia   | 12 June 2026   |





[Visa Inc.: Incrementally bullish following investor meetings with CFO Suh in the UK](#)  
[Payments, Processors & IT Services: V & MA Show Broad Based Strength; Estimates Updated, Buys Reiterated](#)

Matthew C. O'Neill

19 May 2026

Matthew C. O'Neill

01 May 2026

**Upside risks:** Upside risks to our price objective are higher than expected inflation, the DOJ dismissing its case against Visa on debit monopolization, winning new issuance partners globally, growing value-added-services faster than anticipated, large FX fluctuations, leveraging new technology like AI to lower processing costs and/or operating expenses.

**Downside risks:** Downside risks to our price objective are weak consumer spending in the event of a macroeconomic downturn, increased customer concentration and consolidation, legislative and regulatory changes, potential litigation settlements, loss of customer contracts, large FX fluctuations, AI disintermediation, and geopolitical instability.

**Company Description:** Visa (V) operates the world's largest retail electronic payments network. The company provides processing services and payment product platforms, including consumer credit, debit, prepaid and commercial payments, that are offered under Visa and related brands. Visa has also been growing its value-added services business. According to Nilson estimates, V is the largest global credit network (as measured by volume) and the second largest global debit network.

## Walmart (WMT)

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### Buy, PO \$144

#### 3Q investment thesis

We remain convinced that the current backdrop consisting of strength from the upper income consumer and some caution from the value-seeking consumer is conducive for Walmart to accelerate share gains by leading with price and speed. WMT has significant competitive advantages to invest and gain share due to 1) its ability to tap into high growth, margin rich businesses like advertising and membership to help fund pricing investments, and 2) having best-in-class delivery speeds. If the middle/lower income consumer holds up better than expected, especially as gas prices start to move lower, this would likely strengthen sales trends across Walmart US and Sam's Club. At 36x P/E (F28), we think the stock could start to re-rate higher as the market gets confidence that WMT can return to a beat/raise cycle starting next quarter.

#### Table 10: We highlight Walmart as a 3Q26 top pick

WMT key stock data

| Industry                 | Broadlines Retail |
|--------------------------|-------------------|
| Market Cap (mn)          | \$967,200         |
| Price                    | \$113.26          |
| P/E (2026)               | 35.8x             |
| % of sell-side rated Buy | 90%               |



**Table 10: We highlight Walmart as a 3Q26 top pick**

WMT key stock data

**Industry**

Short interest % of float

**Broadlines Retail**

1.90%

**Source:** BofA Global Research estimates, Bloomberg

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**Catalysts:**

**Earnings:** Near term catalysts include 2Q earnings on August 20<sup>th</sup>. We see upside risk for WMT to return to a beat/raise cycle as share gains should accelerate. WMT is playing offense with its rollback strategy (+20% y/y in 1Q) and we expect pricing gaps to hold/widen, not narrow. We expect 2Q like-for-like (LFL) inflation to be similar to 1Q (+1.2% in WMT US); general merchandise inflation should move sequentially lower given the tariff pricing lap and food inflation should sequentially increase due to egg deflation lap. We're encouraged by the momentum in categories like fashion, beauty, and home, among others and note a pickup in 3P marketplace sales (+50% in 1Q) as WMT adds assortment and faster delivery

Last quarter, WMT reiterated full-year operating profit guidance of 6-8% ccy despite ~\$1bn of incremental costs from higher fuel costs. With oil prices moving lower, we think there could be some relief on this margin pressure embedded into guidance last quarter. We view last year (F26) as a playbook for how WMT can manage exogenous headwinds: WMT absorbed over \$1bn of pressure from higher claims expense and dealt with tariffs but still delivered 5.4% ccy op income growth (original guide 3.5%-5.5%).

On digital, we see continued strength in e-commerce (positive incremental margins) and alternative revenue streams like advertising and marketplace. Membership should accelerate given the consumer's focus on value and improving delivery speeds (helps attract upper income consumers). Expansion in marketplace continues to drive the flywheel of advertising and utilization of Walmart's Fulfillment Services (WFS).

**BofA Global Research Reports**

| <b>Title: Subtitle</b>                                                                                  | <b>Primary Author</b> | <b>Date Published</b> |
|---------------------------------------------------------------------------------------------------------|-----------------------|-----------------------|
| <a href="#">Walmart Inc: What's new in Bentonville: Meetings reinforce focus on value</a>               | Christopher Nardone   | 07 June 2026          |
| <a href="#">Walmart Inc: Four key reasons we are defending the stock on the pullback; Reiterate Buy</a> | Christopher Nardone   | 21 May 2026           |
| <a href="#">Walmart Inc: Not your grandma's Walmart, reinstate at Buy</a>                               | Christopher Nardone   | 27 February 2026      |

**Upside risks:** Upside risks include better than expected spending from the lower income consumer and faster digital growth (including advertising and marketplace), leading to better than expected margins.

**Downside risks:** Key risks include a weakening global retailing environment, slowing food inflation or deflation, slowdown in digital (including advertising and marketplace), which delays the long term margin opportunity, and increased competitive pressures at Sam's Club and/or Walmart International.

**Company Description:** Walmart is the world's second largest retailer, operating retail stores under the formats of Walmart Stores, Supercenters, Neighborhood Markets and Sam's Club locations in the United States as well as a growing ecommerce business. Internationally Walmart also operates locations in several countries, including Canada, China & Mexico.



# Lennar (LEN)

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## Underperform, PO \$77

### 3Q investment thesis

We expect a tough setup for LEN in 3Q26 driven by: 1) Land banking fees are expected to compress near-term GM as deposits and pre-acquisition costs on real estate (D&ACORE) rose \$237mm QoQ, 2) elevated market risk as LEN may need to further increase incentives to meet FY delivery guidance amidst choppy housing demand, 3) Absorption pace has stalled despite elevated incentives, 4) ROTE and operating margins have deteriorated faster than peers, 5) persistent lot cost headwinds, 6) SG&A to increase from technology investments and elevated broker commissions, 7) Millrose land spinoff adds incremental interest expense and additional 70/100bps drag in 2026/2027, and 8) valuation remains stretched; LEN trades at 0.9x price-to-forward 2026 tangible book ratio with a return-on-tangible-equity of 7%. This compares to the average builder in our coverage (ex-NVR) at 1.4x price-to-forward book with a 9% ROE. We believe the current premium on LEN is not supported by the relative ROTE. Our \$77 PO is based on 1.1x price to 2026E forward tangible book, below its historical average.

### Table 11: We highlight Lennar Corp as a 3Q26 top pick

LEN key stock data

| Industry                  | Homebuilders |
|---------------------------|--------------|
| Market Cap (mn)           | \$24,563     |
| Price                     | \$90.49      |
| P/E (2026)                | 14.2x        |
| % of sell-side rated Sell | 47%          |
| Short interest % of float | 9.21%        |

Source: BofA Global Research estimates, Bloomberg

BofA GLOBAL RESEARCH

### Catalysts:

**Option maintenance fees margin headwind will likely rise:** LEN has ~\$18.5bn of partner capital deployed into controlled lots as of F1Q. These arrangements carry an implied ~10% cost of capital, paid via option maintenance fees (OMFs). While OMFs are paid in cash as incurred, they are capitalized to D&ACORE and only flow through cost of sales when homesites are purchased and delivered. This creates a timing mismatch, with current cash outflows exceeding P&L expense, driving continued growth in D&ACORE (up \$237mm QoQ in F2Q, primarily from capitalized OMFs). As Lennar accrues OMFs across a multi-year land pipeline but only expensing costs tied to current deliveries, we believe near-term margins understate the economic burden. We expect this imbalance to narrow as LEN scales its asset-light model, with incremental margin headwind and D&ACORE likely to continue building before stabilizing in ~2 years.

**Delivery acceleration could come at the expense of margins:** LEN's FY26 guidance of 82k-83k deliveries implies flat to +9% growth in F4Q vs. down (3%) in F3Q at the midpoint. While Lennar remains focused on driving volume through even-flow production and sales pace, we see risk that growth could come at the expense of margins. Market inelasticity is evident amid weaker employment and elevated inventory: F1Q26 absorption was slightly below normal seasonality in an overall choppy market. Gross margin of 15.6% was in-line with guidance, and F3Q GM guidance of approximately 16% is driven by direct cost savings and flattish QoQ incentives. F3Q SG&A of 8.8%-9.0% higher than forecast due to investment in digital marketing and technology platforms.



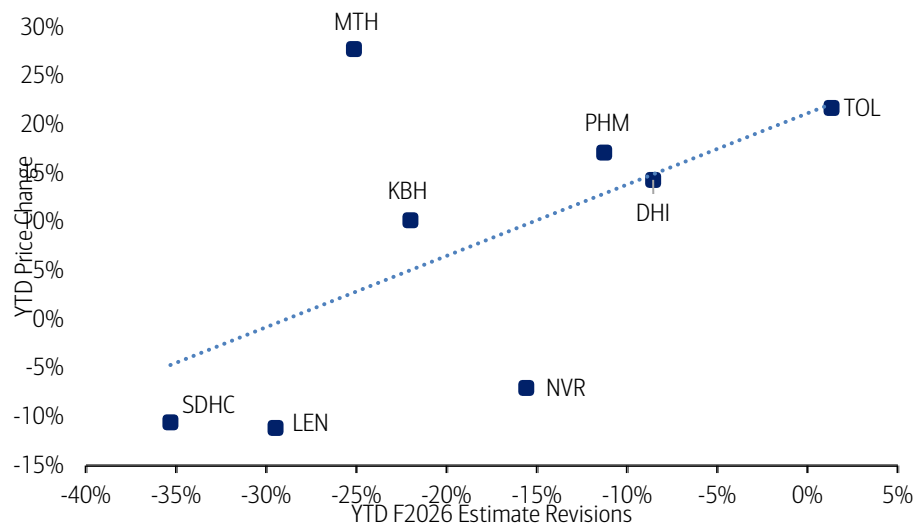
Financial services operating income guide was also below our expectations due to shift to more adjustable-rate mortgages.

**Expect additional 100bps ROTE decline in F26:** Following a 670bps YoY decline in LEN's ROTE in F2025 (vs. average builder in our coverage down 520bps), we forecast a 320bps decline in F2026 driven by: 1) accruing OMFs in D& ACORE 2) rising lot costs (estimate 30% of homebuilding sales), 3) net price pressure given affordability headwinds for entry level buyers and higher new/resale home inventory levels in certain markets, and 4) Millrose option fee related to its land spin-off to ramp-up to 70bps/100bps in F2026/F2027. We also see headwinds on SG&A from digital marketing and technology investments.

**Incentives still elevated with higher inventory and rates:** We expect LEN to continue relying on incentives to support demand, given persistent affordability challenges and elevated mortgage rates, particularly for entry-level buyers. Inventory levels have risen in several markets-most notably Florida and Texas-while rental vacancies and existing home supply have also increased, adding further pressure on pricing dynamics.

**Exhibit 1: LEN's F2026 estimate revisions is down (29%) YTD vs. stock price down (11%) YTD**

Year to date F2026 estimate revisions vs. YTD stock price change



Source: BofA Global Research, Visible Alpha

BofA GLOBAL RESEARCH

### BofA Global Research Reports

| Title: Subtitle                                                                                                        | Primary Author | Date Published   |
|------------------------------------------------------------------------------------------------------------------------|----------------|------------------|
| <a href="#">Lennar Corporation: Lower PO; F2Q in-line and GM stabilizes, but land bank costs will continue to rise</a> | Rafe Jadrosich | 14 June 2026     |
| <a href="#">Lennar Corporation: Expect in-line F2Q, but focus remains on land banking costs; Underperform</a>          | Rafe Jadrosich | 11 June 2026     |
| <a href="#">Lennar Corporation: Downgrade to Underperform; Margins deteriorating faster than peers</a>                 | Rafe Jadrosich | 18 December 2025 |

**Upside risks:** Upside risks to our PO are: 1) continued improvement in the US homebuilding market, 2) favorable interest rates and moderating home price appreciation, 3) potential for a more shareholder friendly approach to capital allocation, 4) better than expected execution of its rental business, 5) Millrose spinoff has less



impact to margins than previously expected, and 6) D&ACORE imbalance with P&L expense narrows faster than expected as deliveries grow, providing long-term margin tailwind.

**Downside risks:** 1) worsening affordability, 2) expectations for rising rates, 3) continued supply chain challenges, 4) capital allocation less shareholder-friendly than some peers, 5) executing ancillary business strategy, 6) elevated mgmt. ownership, 7) higher financial leverage than some peers, 8) rising land prices and input costs, 8) potential for local permitting delays, 9) Millrose spinoff has more impact to margins than previously expected, 10) slowing US economy, 11) rising energy prices and 12) D&ACORE continues to grow faster than P&L expense and near-term margins continue to understate the economic burden.

**Company Description:** Lennar is the second largest public homebuilder by closings in the US, delivering roughly 82.5k homes in FY2025. LEN is positioned in 22 states in 49 markets targeting first time, move-up, and active adult buyers. LEN reports its results under five distinct operating regions: East, Central, Texas, West, and Other. The company also owns a financial services business.

## Price objective basis & risk

### Ford Motor (F)

Our price objective of \$20 is based on an EV/EBITDA of roughly 4.6x on our 2027 estimates. This valuation methodology reflects a multiple within Ford's historical range (2-5x). We believe a multiple at this level is warranted considering the more favorable regulatory backdrop in the US, enabling the company to mix shift to its most margin accretive truck/SUV platforms. In addition, we see near-term benefits from improving Model e losses, and stability in its high margin Ford Pro commercial business.

Downside risks: 1) material downturn in US auto sales from weak consumer confidence & affordability challenges, 2) a sharp and sustained rise in input costs, 3) disruption in the supply base, 4) significant increase in gas prices, 5) new vehicle pricing deteriorates, 6) market share losses pressure results, 6) stress in capital markets makes borrowing more expensive, 7) Incremental execution risk as management ramps up.

Upside risks: 1) better than expected US auto sales, 2) growth in higher margin revenue streams remains robust, incl. software & services, 3) mix and pricing remain favorable

### International Business Machines Corp. (IBM)

Our PO of \$315 is based on 21x EV/FCF. Our target multiple for IBM exceeds the high end of the historical range 8-22x, with median 13x. We believe a multiple at the high end/exceeding the historical range is justified given the company's improving growth and FCF trajectory with Red Hat.

Downside risks to our price objective are (1) failure to execute on the company's growth roadmap, (2) inability to realize expected cost savings from restructuring, (3) technology/competitor risk in hardware, software, and services, (4) unforeseen currency impacts on revenue and profits, (5) acquisition integration, given IBM's acquisitive nature, and (6) increased concern of economic uncertainty and tightening corporate IT budgets.



Upside risks to our price objective are (1) faster reacceleration of topline, (2) faster improvement in margins, (3) better-than-expected accretion from M&A, and (4) delivery of upside to FCF.

### **Ionis (IONS)**

Our \$111 price objective (PO) is based on a risk-adjusted DCF analysis, in which we assume: (1) risk-adjustment to pipeline programs based on abundance and strength of supportive clinical data, with <30% POS generally assigned to early-stage programs vs. >50% POS for mid-to-late stage assets, (2) the biggest value drivers in our DCF valuation are Wainua, Olezarsen, and Spinraza, (3) we assign marginal value to more speculative, early-stage program, (4) we assume 9.5% discount rate and 0% terminal growth rate.

Downside risks to our PO: 1) key product sales underperform relative to our forecast, 2) failure of key clinical trials, 3) competitor clinical data outperform vs. our expectation.

Upside risks to our PO: 1) delay to regulatory approval of competitors' drug products, 2) failure of competitors' clinical trials, 3) better than expected clinical data readouts

### **JPMorgan Chase & Co. (JPM)**

Our \$362 PO is based on 50% FY26e P/E and 50% FY26e P/TBV. We assign 17x to FY26e EPS, 3.0x YE26e TBV, above the 5-year pre-pandemic average (11.8x/1.7x, respectively) due to the bank's best-in-class revenue generation and better EPS defensibility.

Downside risks to our price objective are macro risks, such as a faster pace to rate cuts, additional regulatory requirements, and scrutiny of the financials industry.

Upside risks are better-than-expected credit quality (i.e., lower loan losses) and better interest rate defensibility.

### **Knight-Swift Transportation Holdings Inc (KNX)**

Our \$84 price objective is based on a 29.5x target multiple on our 2027 EPS estimate. Our target multiple is above its one-standard-deviation 22-year historical trading range of 14x-26x on year ahead estimates, as it moved past trough earnings and should benefit from reduced capacity follow through on spot and contract rate renewals.

Downside risks to our price objective are volatility at its truckload segment (particularly its historical USX/SWFT segments, which is more exposed to large retail and project pricing), slower earnings growth from its LTL acquisitions, weaker-than-expected economic conditions, an inability for the company to have trucking rates offset rising costs (driver pay, insurance, depreciation, and fuel), a severe accident impacting the company's image and finances, over-expanding (or acquiring assets) without maintaining its focus on cost controls, and a lack of growth opportunities, and the failure to complete the effective integration of US Xpress, which may affect its growth outlook.

### **Lennar Corporation (LEN)**

Our PO of \$77 is based on 1.1x price to price to 12-month forward tangible book value, below LEN's historical average (1.4x price to tangible book value) given its average return on tangible book.

Downside risks: 1) worsening affordability, 2) expectations for rising rates, 3) continued supply chain challenges, 4) capital allocation less shareholder-friendly than some peers, 5) executing ancillary business strategy, 6) elevated mgmt. ownership, 7) higher financial leverage than some peers, 8) rising land prices and input costs, 8) potential for local permitting delays, and 9) slowing US economy.

Upside risks: 1) continued improvement in the US homebuilding market, 2) favorable interest rates and moderating home price appreciation, 3) potential for a more shareholder friendly approach to capital allocation, 4) better than expected execution of its rental business.

### **Snowflake (SNOW)**

Our PO of \$300 is based on 14.7x CY27E revenue, a premium to the infrastructure software group at 5.5x for durability of growth stemming from Snowflake's traction in the AI software market, which has a large, growing TAM of \$155bn.

Upside risks to our PO: Snowflake recognizes revenue based on actual consumption (versus subscription ratably in arrears). In the event of changes to market sentiment on macro abating and IT spend returning to normal, consumption and revenue growth could quickly reaccelerate which could drive multiple expansion.

Downside risks to our PO: 1) Snowflake trades at a premium to its software large-cap peer group. In the event of changes to market sentiment stemming from global macro uncertainty, or potentially disappointing quarterly revenue results, there could be risk of a potential pullback, 2) The company's consumption model implies more revenue volatility than a traditional subscription model, 3) Snowflake serves in a highly competitive market, which consists of deep-pocketed next-gen DBMS vendors, public cloud vendors and legacy DBMS. An inability to execute on a product roadmap for added capabilities could result in slowing share gains or even share losses.

### **Spotify Technology (SPOT)**

Our \$685 price objective is based on roughly 29x our CY27E FCF estimate, a slight premium to the closest peer and roughly in line with fast-growing streaming companies. We use a multiple of FCF for valuation as SPOT has reached a profitability inflection point and should be able to sustainably grow FCF into the future.

Our valuation accounts for SPOT's positioning within a secular growth area of Media & Entertainment, its ramping profitability, and the premium valuations ascribed to leading subscription streaming media services.

Upside risks to our price objective are faster-than-expected revenue growth, margin expansion, increased market share, increased operating leverage, and traction from new growth initiatives.

Downside risks to our price objective are margin pressure, increased content costs, reduced streaming market share, slower revenue growth and competition from AI platforms.

### **Visa Inc. (V)**

We apply a 26x multiple to our STM (non-GAAP) estimate of \$15.81 to calculate our 12-month price objective of \$410. Our target multiple is roughly in line with both the 1yr and 5yr average STM P/E multiples that shares of V have traded at historically. This multiple represents a premium to the S&P 500 NTM P/E multiple of approximately 22x, which we view as justified given Visa's growth profile, deep moat, increasing diversification, execution track record, and large addressable market opportunity.

Downside risks are 1) weak consumer spending in the event of a macroeconomic downturn, 2) increased customer concentration and consolidation, 3) legislative and regulatory changes, 4) potential litigation settlements, which could include monetary damages, and/or result in changes in business practices, 5) loss of customer contracts due to increased competition or new entrants, including local/global payment networks, new start-ups and existing large and small technology companies, 6) large fluctuations in the value of currencies/foreign exchange rates, and 7) AI disintermediation, which





includes AI agents routing transactions off of the network 8) Geopolitical instability in the Middle East adds further downside risk, as reduced travel and higher energy prices could weigh on Visa's highest yield cross border corridors.

### **Walmart Inc (WMT)**

Our \$144 price objective is based on 45x our F28E adj. EPS, which is above WMT's average 1-year forward P/E multiple of 36x over the last 2 years. Our premium multiple reflects an outlook for positive US comps (with positive traffic) and WMT's leading edge on deploying technology to drive consistent share gains and operating income growth nearly double the pace of sales growth.

Downside risks to our PO are slowing food inflation or deflation, Walmart's longer-term ability to continue gaining incremental market share given its large size, a weakening global retailing environment, competitive pressures at Sam's Club and/or Walmart International.

## **Analyst Certification**

We, Anthony Cassamassino, Alexander Perry, Christopher Nardone, Ebrahim H. Poonawala, Jason M. Gerberry, Jessica Reif Ehrlich, Ken Hoexter, Koji Ikeda, CFA, Matthew C. O'Neill, Rafe Jadrosich and Wamsi Mohan, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

## **Special Disclosures**

The following company is a co-defendant with Bank of America Corporation and certain of its subsidiaries in the In Re Payment Card Interchange Fee and Merchant Discount Anti-Trust Litigation ("Interchange Litigation"): Visa. This report is not a statement by Bank of America Corporation or any of its subsidiaries or affiliates. This report reflects only the personal views of the BofA Global Research analyst who authored this report. He/she is in no way authorized to speak on behalf of Bank of America Corporation or any of its subsidiaries or affiliates in connection with the Interchange Litigation or any other litigation. This report was researched and prepared solely by the BofA Global Research analyst who authored this report. This report has not been discussed with, reviewed by, and may not reflect information known to, professionals in Bank of America and its affiliates involved in the Interchange Litigation or any other litigation. Any facts and views expressed herein that relate to the Interchange Litigation and the payment card business are based solely on public information, and not based on any information provided by Bank of America or any of its subsidiaries or affiliates, and reflect only the personal views of the BofA Global Research analyst who authored this report.

BofA Securities is currently acting as a financial advisor to Promocion y Operacion SA de CV (Prosa) in connection with its proposed sale of its majority interest to Visa Inc, which was announced on December 15, 2023.

**US - Automotives Coverage Cluster**

| Investment rating   | Company                | BofA Ticker | Bloomberg symbol | Analyst         |
|---------------------|------------------------|-------------|------------------|-----------------|
| <b>BUY</b>          |                        |             |                  |                 |
|                     | Aptiv PLC              | APT         | APT US           | Alexander Perry |
|                     | Asbury Auto            | ABG         | ABG US           | Alexander Perry |
|                     | AutoNation             | AN          | AN US            | Alexander Perry |
|                     | Dauch Corporation      | DCH         | DCH US           | Alexander Perry |
|                     | Ford Motor             | F           | F US             | Alexander Perry |
|                     | General Motors Company | GM          | GM US            | Alexander Perry |
|                     | Group 1 Auto           | GPI         | GPI US           | Alexander Perry |
|                     | Lithia Motors          | LAD         | LAD US           | Alexander Perry |
|                     | Magna Intl             | MGA         | MGA US           | Alexander Perry |
|                     | Magna Intl             | YMG         | MG CN            | Alexander Perry |
|                     | Penske Auto Group      | PAG         | PAG US           | Alexander Perry |
|                     | Sonic Automotive       | SAH         | SAH US           | Alexander Perry |
|                     | Tesla Motors           | TSLA        | TSLA US          | Alexander Perry |
| <b>NEUTRAL</b>      |                        |             |                  |                 |
|                     | BorgWarner             | BWA         | BWA US           | Alexander Perry |
|                     | Lear Corp.             | LEA         | LEA US           | Alexander Perry |
|                     | OPENLANE               | OPLN        | OPLN US          | Alexander Perry |
| <b>UNDERPERFORM</b> |                        |             |                  |                 |
|                     | Adient Plc             | ADNT        | ADNT US          | Alexander Perry |
|                     | CarMax, Inc.           | KMX         | KMX US           | Alexander Perry |
|                     | Lucid Group            | LCID        | LCID US          | Alexander Perry |
|                     | Rivian Automotive      | RIVN        | RIVN US          | Alexander Perry |

**US - Cable, Entertainment and Satellite Coverage Cluster**

| Investment rating   | Company                             | BofA Ticker | Bloomberg symbol | Analyst              |
|---------------------|-------------------------------------|-------------|------------------|----------------------|
| <b>BUY</b>          |                                     |             |                  |                      |
|                     | Charter Communications              | CHTR        | CHTR US          | Jessica Reif Ehrlich |
|                     | Comcast Corp                        | CMCSA       | CMCSA US         | Jessica Reif Ehrlich |
|                     | Formula One                         | FWONK       | FWONK US         | Brent Navon, CFA     |
|                     | Live Nation Entertainment           | LYV         | LYV US           | Peter Henderson      |
|                     | Madison Square Garden Entertainment | MSGE        | MSGE US          | Peter Henderson      |
|                     | Netflix, Inc.                       | NFLX        | NFLX US          | Jessica Reif Ehrlich |
|                     | Spotify Technology                  | SPOT        | SPOT US          | Jessica Reif Ehrlich |
|                     | TKO Group Holdings                  | TKO         | TKO US           | Brent Navon, CFA     |
|                     | Walt Disney Co.                     | DIS         | DIS US           | Jessica Reif Ehrlich |
| <b>NEUTRAL</b>      |                                     |             |                  |                      |
|                     | iHeartMedia, Inc.                   | IHRT        | IHRT US          | Jessica Reif Ehrlich |
|                     | Sphere Entertainment Co.            | SPHR        | SPHR US          | Peter Henderson      |
|                     | The New York Times Company          | NYT         | NYT US           | David Plaus          |
|                     | Warner Music Group Corporation      | WMG         | WMG US           | Jessica Reif Ehrlich |
| <b>UNDERPERFORM</b> |                                     |             |                  |                      |
|                     | Fox Corporation                     | FOXA        | FOXA US          | Jessica Reif Ehrlich |
|                     | Fox Corporation                     | FOX         | FOX US           | Jessica Reif Ehrlich |
|                     | Optimum Communications Inc          | OPTU        | OPTU US          | Jessica Reif Ehrlich |
|                     | Paramount Skydance                  | PSKY        | PSKY US          | Jessica Reif Ehrlich |
|                     | Sirius XM Holdings Inc              | SIRI        | SIRI US          | Jessica Reif Ehrlich |
|                     | The Trade Desk, Inc.                | TTD         | TTD US           | Jessica Reif Ehrlich |
| <b>RSTR</b>         |                                     |             |                  |                      |
|                     | Warner Bros. Discovery              | WBD         | WBD US           | Jessica Reif Ehrlich |

**US - Transportation Coverage Cluster**

| Investment rating | Company       | BofA Ticker | Bloomberg symbol | Analyst     |
|-------------------|---------------|-------------|------------------|-------------|
| <b>BUY</b>        |               |             |                  |             |
|                   | C.H. Robinson | CHRW        | CHRW US          | Ken Hoexter |



**US - Transportation Coverage Cluster**

| Investment rating | Company                                  | BofA Ticker | Bloomberg symbol | Analyst     |
|-------------------|------------------------------------------|-------------|------------------|-------------|
|                   | Canadian National                        | CNI         | CNI US           | Ken Hoexter |
|                   | Canadian Pacific Kansas City Ltd         | CP          | CP US            | Ken Hoexter |
|                   | CSX Corporation                          | CSX         | CSX US           | Ken Hoexter |
|                   | Expeditors International                 | EXPD        | EXPD US          | Ken Hoexter |
|                   | FedEx Corp.                              | FDX         | FDX US           | Ken Hoexter |
|                   | FedEx Freight Holding Company, Inc       | FDXF        | FDXF US          | Ken Hoexter |
|                   | J.B. Hunt Transport Services             | JBHT        | JBHT US          | Ken Hoexter |
|                   | Kirby Corp                               | KEX         | KEX US           | Ken Hoexter |
|                   | Knight-Swift Transportation Holdings Inc | KNX         | KNX US           | Ken Hoexter |
|                   | Schneider National                       | SNDR        | SNDR US          | Ken Hoexter |
|                   | TFI International                        | TFII        | TFII US          | Ken Hoexter |
|                   | TFI International                        | YTFII       | TFII CN          | Ken Hoexter |
|                   | Union Pacific                            | UNP         | UNP US           | Ken Hoexter |
|                   | Wabtec Corp.                             | WAB         | WAB US           | Ken Hoexter |
|                   | XPO, Inc.                                | XPO         | XPO US           | Ken Hoexter |

**NEUTRAL**

|  |                           |      |         |             |
|--|---------------------------|------|---------|-------------|
|  | ArcBest Corporation       | ARCB | ARCB US | Ken Hoexter |
|  | Old Dominion Freight Line | ODFL | ODFL US | Ken Hoexter |
|  | RXO, Inc.                 | RXO  | RXO US  | Ken Hoexter |
|  | Saia Inc.                 | SAIA | SAIA US | Ken Hoexter |
|  | UPS                       | UPS  | UPS US  | Ken Hoexter |

**UNDERPERFORM**

|  |                          |      |         |             |
|--|--------------------------|------|---------|-------------|
|  | Scorpio Tankers Inc.     | STNG | STNG US | Ken Hoexter |
|  | Teekay Tankers Limited   | TNK  | TNK US  | Ken Hoexter |
|  | The Greenbrier Companies | GBX  | GBX US  | Ken Hoexter |
|  | Werner Enterprises       | WERN | WERN US | Ken Hoexter |
|  | World Kinect             | WKC  | WKC US  | Ken Hoexter |

**RSTR**

|  |                  |     |        |             |
|--|------------------|-----|--------|-------------|
|  | Norfolk Southern | NSC | NSC US | Ken Hoexter |
|--|------------------|-----|--------|-------------|

**US - IT Hardware and Technology Supply Chain Coverage Cluster**

| Investment rating | Company                               | BofA Ticker | Bloomberg symbol | Analyst            |
|-------------------|---------------------------------------|-------------|------------------|--------------------|
| <b>BUY</b>        |                                       |             |                  |                    |
|                   | Amphenol                              | APH         | APH US           | Wamsi Mohan        |
|                   | Apple Inc.                            | AAPL        | AAPL US          | Wamsi Mohan        |
|                   | Celestica Inc.                        | CLS         | CLS US           | Ruplu Bhattacharya |
|                   | Celestica Inc.                        | YCLS        | CLS CN           | Ruplu Bhattacharya |
|                   | Corning Inc.                          | GLW         | GLW US           | Wamsi Mohan        |
|                   | Dell Technologies Inc.                | DELL        | DELL US          | Wamsi Mohan        |
|                   | DigitalOcean                          | DOCN        | DOCN US          | Wamsi Mohan        |
|                   | Flex Ltd.                             | FLEX        | FLEX US          | Ruplu Bhattacharya |
|                   | Hewlett-Packard Enterprise            | HPE         | HPE US           | Wamsi Mohan        |
|                   | Ingram Micro Holding Corporation      | INGM        | INGM US          | Ruplu Bhattacharya |
|                   | International Business Machines Corp. | IBM         | IBM US           | Wamsi Mohan        |
|                   | Jabil Inc.                            | JBL         | JBL US           | Ruplu Bhattacharya |
|                   | Nutanix Inc                           | NTNX        | NTNX US          | Wamsi Mohan        |
|                   | Sandisk Corporation                   | SNDK        | SNDK US          | Wamsi Mohan        |
|                   | Seagate Technology                    | STX         | STX US           | Wamsi Mohan        |
|                   | TD Synnex Corp                        | SNX         | SNX US           | Ruplu Bhattacharya |
|                   | TE Connectivity Plc.                  | TEL         | TEL US           | Wamsi Mohan        |
|                   | Western Digital Corporation           | WDC         | WDC US           | Wamsi Mohan        |

**NEUTRAL**

|  |                        |      |         |                    |
|--|------------------------|------|---------|--------------------|
|  | Arrow Electronics Inc. | ARW  | ARW US  | Ruplu Bhattacharya |
|  | Avnet Inc.             | AVT  | AVT US  | Ruplu Bhattacharya |
|  | CDW Corp               | CDW  | CDW US  | Ruplu Bhattacharya |
|  | Concentrix Corporation | CNXC | CNXC US | Ruplu Bhattacharya |
|  | Enovix Corporation     | ENVX | ENVX US | Ruplu Bhattacharya |
|  | Everpure Inc           | P    | P US    | Wamsi Mohan        |
|  | NetApp Inc.            | NTAP | NTAP US | Wamsi Mohan        |
|  | Sanmina Corporation    | SANM | SANM US | Ruplu Bhattacharya |



## US - IT Hardware and Technology Supply Chain Coverage Cluster

| Investment rating | Company                           | BofA Ticker | Bloomberg symbol | Analyst     |
|-------------------|-----------------------------------|-------------|------------------|-------------|
|                   | Sensata Technologies Holdings Plc | ST          | ST US            | Wamsi Mohan |

## UNDERPERFORM

|  |                              |      |         |                    |
|--|------------------------------|------|---------|--------------------|
|  | HP Inc.                      | HPQ  | HPQ US  | Wamsi Mohan        |
|  | Super Micro Computer Inc.    | SMCI | SMCI US | Ruplu Bhattacharya |
|  | Teradata Corporation         | TDC  | TDC US  | Wamsi Mohan        |
|  | Vishay Intertechnology, Inc. | VSH  | VSH US  | Ruplu Bhattacharya |

## US - Homebuilders and Building Products Coverage Cluster

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|-------------------|---------|-------------|------------------|---------|
|-------------------|---------|-------------|------------------|---------|

## BUY

|  |                                  |       |         |                   |
|--|----------------------------------|-------|---------|-------------------|
|  | Armstrong World Industries, Inc. | AWI   | AWI US  | Rafe Jadrosich    |
|  | Hayward Holdings, Inc.           | HAYW  | HAYW US | Rafe Jadrosich    |
|  | James Hardie Industries Plc      | JHIUF | JHX AU  | Rafe Jadrosich    |
|  | James Hardie Industries Plc      | JHX   | JHX US  | Rafe Jadrosich    |
|  | NVR, Inc.                        | NVR   | NVR US  | Rafe Jadrosich    |
|  | Owens Corning                    | OC    | OC US   | Rafe Jadrosich    |
|  | PulteGroup Inc.                  | PHM   | PHM US  | Rafe Jadrosich    |
|  | SiteOne Landscape Supply, Inc.   | SITE  | SITE US | Shaun Calnan, CFA |
|  | Somnigroup International Inc.    | SGI   | SGI US  | Rafe Jadrosich    |
|  | Toll Brothers, Inc.              | TOL   | TOL US  | Rafe Jadrosich    |

## NEUTRAL

|  |                            |      |         |                |
|--|----------------------------|------|---------|----------------|
|  | Allegion                   | ALLE | ALLE US | Rafe Jadrosich |
|  | Builders FirstSource Inc   | BLDR | BLDR US | Rafe Jadrosich |
|  | D.R. Horton, Inc.          | DHI  | DHI US  | Rafe Jadrosich |
|  | KB Home                    | KBH  | KBH US  | Rafe Jadrosich |
|  | Meritage Homes Corporation | MTH  | MTH US  | Rafe Jadrosich |
|  | Mohawk Industries          | MHK  | MHK US  | Rafe Jadrosich |

## UNDERPERFORM

|  |                                |      |         |                   |
|--|--------------------------------|------|---------|-------------------|
|  | Fortune Brands Innovations Inc | FBIN | FBIN US | Rafe Jadrosich    |
|  | Latham Group, Inc.             | SWIM | SWIM US | Shaun Calnan, CFA |
|  | Lennar Corporation             | LEN  | LEN US  | Rafe Jadrosich    |
|  | Masco Corp                     | MAS  | MAS US  | Rafe Jadrosich    |
|  | Pentair plc                    | PNR  | PNR US  | Shaun Calnan, CFA |
|  | Pool Corporation               | POOL | POOL US | Shaun Calnan, CFA |
|  | Smith Douglas Homes Corp.      | SDHC | SDHC US | Rafe Jadrosich    |
|  | Trex Company, Inc.             | TREX | TREX US | Rafe Jadrosich    |
|  | Whirlpool                      | WHR  | WHR US  | Rafe Jadrosich    |

## RSTR

|  |                           |     |        |                |
|--|---------------------------|-----|--------|----------------|
|  | Dream Finders Homes, Inc. | DFH | DFH US | Rafe Jadrosich |
|--|---------------------------|-----|--------|----------------|

## North America - Banks Coverage Cluster

| Investment rating | Company | BofA Ticker | Bloomberg symbol | Analyst |
|-------------------|---------|-------------|------------------|---------|
|-------------------|---------|-------------|------------------|---------|

## BUY

|  |                                    |      |         |                      |
|--|------------------------------------|------|---------|----------------------|
|  | Ally Financial                     | ALLY | ALLY US | Brandon Berman       |
|  | Ares Capital Corporation           | ARCC | ARCC US | Derek Hewett         |
|  | Barings BDC Inc                    | BBDC | BBDC US | Derek Hewett         |
|  | Blackstone Secured Lending Fund    | BXSL | BXSL US | Derek Hewett         |
|  | Blue Owl Capital Corporation       | OBDC | OBDC US | Derek Hewett         |
|  | BNY                                | BNY  | BNY US  | Ebrahim H. Poonawala |
|  | Canadian Imperial Bank of Commerce | CM   | CM US   | Ebrahim H. Poonawala |
|  | Canadian Imperial Bank of Commerce | YCM  | CM CN   | Ebrahim H. Poonawala |
|  | Central Bancompany                 | CBC  | CBC US  | Brandon Berman       |
|  | Citigroup Inc.                     | C    | C US    | Ebrahim H. Poonawala |
|  | Citizens Financial Group           | CFG  | CFG US  | Ebrahim H. Poonawala |
|  | Crescent Capital BDC               | CCAP | CCAP US | Derek Hewett         |
|  | Cullen/Frost Bankers Inc           | CFR  | CFR US  | Ebrahim H. Poonawala |



## North America - Banks Coverage Cluster

| Investment rating | Company                                | BofA Ticker | Bloomberg symbol | Analyst              |
|-------------------|----------------------------------------|-------------|------------------|----------------------|
|                   | East West Bancorp, Incorporated        | EWBC        | EWBC US          | Ebrahim H. Poonawala |
|                   | Evercore Inc.                          | EVR         | EVR US           | Ebrahim H. Poonawala |
|                   | Fifth Third Bank                       | FITB        | FITB US          | Ebrahim H. Poonawala |
|                   | First Bancorp Puerto Rico              | FBP         | FBP US           | Brandon Berman       |
|                   | First Horizon Corporation              | FHN         | FHN US           | Ebrahim H. Poonawala |
|                   | FNB Corporation                        | FNB         | FNB US           | Brandon Berman       |
|                   | Goldman Sachs                          | GS          | GS US            | Ebrahim H. Poonawala |
|                   | Golub Capital BDC, Inc.                | GBDC        | GBDC US          | Derek Hewett         |
|                   | Huntington Bancshares Inc.             | HBAN        | HBAN US          | Ebrahim H. Poonawala |
|                   | JPMorgan Chase & Co.                   | JPM         | JPM US           | Ebrahim H. Poonawala |
|                   | Kayne Anderson BDC, Inc.               | KBDC        | KBDC US          | Derek Hewett         |
|                   | KeyCorp                                | KEY         | KEY US           | Ebrahim H. Poonawala |
|                   | Lazard Inc.                            | LAZ         | LAZ US           | Ebrahim H. Poonawala |
|                   | Morgan Stanley                         | MS          | MS US            | Ebrahim H. Poonawala |
|                   | National Bank of Canada                | YNA         | NA CN            | Ebrahim H. Poonawala |
|                   | Northern Trust Corporation             | NTRS        | NTRS US          | Ebrahim H. Poonawala |
|                   | Nuveen Churchill Direct Lending        | NCDL        | NCDL US          | Derek Hewett         |
|                   | Pinnacle Financial Partners            | PNFP        | PNFP US          | Ebrahim H. Poonawala |
|                   | Popular Inc                            | BPOP        | BPOP US          | Brandon Berman       |
|                   | Royal Bank of Canada                   | RY          | RY US            | Ebrahim H. Poonawala |
|                   | Royal Bank of Canada                   | YRY         | RY CN            | Ebrahim H. Poonawala |
|                   | Safehold, Inc                          | SAFE        | SAFE US          | Derek Hewett         |
|                   | Sixth Street Specialty Lending, Inc    | TSIX        | TSIX US          | Derek Hewett         |
|                   | Texas Capital Bancshares Inc.          | TCBI        | TCBI US          | Brandon Berman       |
|                   | The PNC Financial Services Group, Inc. | PNC         | PNC US           | Ebrahim H. Poonawala |
|                   | Toronto-Dominion Bank                  | TD          | TD US            | Ebrahim H. Poonawala |
|                   | Toronto-Dominion Bank                  | YTD         | TD CN            | Ebrahim H. Poonawala |
|                   | Truist Financial                       | TFC         | TFC US           | Ebrahim H. Poonawala |
|                   | U.S. Bancorp                           | USB         | USB US           | Ebrahim H. Poonawala |
|                   | UMB Financial Corporation              | UMBF        | UMBF US          | Brandon Berman       |
|                   | Wells Fargo & Company                  | WFC         | WFC US           | Ebrahim H. Poonawala |
|                   | Western Alliance Bancorp               | WAL         | WAL US           | Ebrahim H. Poonawala |

## NEUTRAL

|  |                                      |      |         |                      |
|--|--------------------------------------|------|---------|----------------------|
|  | AGNC Investment Corp                 | AGNC | AGNC US | Derek Hewett         |
|  | Annaly Capital Management            | NLY  | NLY US  | Derek Hewett         |
|  | Associated Banc-Corp                 | ASB  | ASB US  | Brandon Berman       |
|  | Bain Capital Specialty Finance, Inc. | BCSF | BCSF US | Derek Hewett         |
|  | Bank of Montreal                     | BMO  | BMO US  | Ebrahim H. Poonawala |
|  | Bank of Montreal                     | YBMO | BMO CN  | Ebrahim H. Poonawala |
|  | Bank of Nova Scotia                  | YBNS | BNS CN  | Ebrahim H. Poonawala |
|  | Bank of Nova Scotia                  | BNS  | BNS US  | Ebrahim H. Poonawala |
|  | Blackstone Mortgage Trust Inc        | BXMT | BXMT US | Derek Hewett         |
|  | Blue Owl Technology Finance Corp.    | OTF  | OTF US  | Derek Hewett         |
|  | Commerce Bancshares Inc.             | CBSH | CBSH US | Brandon Berman       |
|  | Flagstar Bank, N.A.                  | FLG  | FLG US  | Ebrahim H. Poonawala |
|  | Goldman Sachs BDC, Inc.              | GSBD | GSBD US | Derek Hewett         |
|  | Ladder Capital Corp                  | LADR | LADR US | Derek Hewett         |
|  | M&T Bank                             | MTB  | MTB US  | Ebrahim H. Poonawala |
|  | Moelis & Company                     | MC   | MC US   | Ebrahim H. Poonawala |
|  | Palmer Square Capital BDC            | PSBD | PSBD US | Derek Hewett         |
|  | PennyMac Mortgage Investment Trust   | PMT  | PMT US  | Derek Hewett         |
|  | Prosperity Bancshares Inc            | PB   | PB US   | Brandon Berman       |
|  | Regions Financial                    | RF   | RF US   | Ebrahim H. Poonawala |
|  | Starwood Property Trust              | STWD | STWD US | Derek Hewett         |
|  | State Street Corporation             | STT  | STT US  | Ebrahim H. Poonawala |
|  | Washington Trust Bancorp Inc         | WASH | WASH US | Brandon Berman       |
|  | Zions Bancorp                        | ZION | ZION US | Brandon Berman       |

## UNDERPERFORM

|  |                                         |      |         |                |
|--|-----------------------------------------|------|---------|----------------|
|  | Ares Commercial Real Estate Corporation | ACRE | ACRE US | Derek Hewett   |
|  | Bank of Hawaii Corp.                    | BOH  | BOH US  | Brandon Berman |
|  | BrightSpire Capital Inc.                | BRSP | BRSP US | Derek Hewett   |
|  | Carlyle Secured Lending Inc             | CGBD | CGBD US | Derek Hewett   |
|  | First Hawaiian Inc.                     | FHB  | FHB US  | Brandon Berman |
|  | Invesco Mortgage Capital, Inc.          | IVR  | IVR US  | Derek Hewett   |



## North America - Banks Coverage Cluster

| Investment rating | Company                          | BofA Ticker | Bloomberg symbol | Analyst              |
|-------------------|----------------------------------|-------------|------------------|----------------------|
|                   | MidCap Financial Investment Co   | MFIC        | MFIC US          | Derek Hewett         |
|                   | New Mountain Finance Corporation | NMFC        | NMFC US          | Derek Hewett         |
|                   | Piper Sandler                    | PIPR        | PIPR US          | Ebrahim H. Poonawala |
|                   | Runway Growth                    | RWAY        | RWAY US          | Derek Hewett         |
|                   | TPG RE Finance Trust, Inc.       | TRTX        | TRTX US          | Derek Hewett         |
| <b>RSTR</b>       |                                  |             |                  |                      |
|                   | Webster Financial Corp.          | WBS         | WBS US           | Brandon Berman       |
| <b>RVW</b>        |                                  |             |                  |                      |
|                   | Compass Diversified Holdings     | CODI        | CODI US          | Derek Hewett         |

## US - Payments, Processors, Specialty Finance and IT services Coverage Cluster

| Investment rating   | Company                      | BofA Ticker | Bloomberg symbol | Analyst            |
|---------------------|------------------------------|-------------|------------------|--------------------|
| <b>BUY</b>          |                              |             |                  |                    |
|                     | Affirm Holdings              | AFRM        | AFRM US          | Matthew C. O'Neill |
|                     | American Express Company     | AXP         | AXP US           | Mihir Bhatia       |
|                     | Block Inc                    | XYZ         | XYZ US           | Matthew C. O'Neill |
|                     | Bread Financial Holdings Inc | BFH         | BFH US           | Mihir Bhatia       |
|                     | Capital One Financial        | COF         | COF US           | Mihir Bhatia       |
|                     | Corpay Inc                   | CPAY        | CPAY US          | Mihir Bhatia       |
|                     | Enact Holdings               | ACT         | ACT US           | Mihir Bhatia       |
|                     | Essent Group                 | ESNT        | ESNT US          | Mihir Bhatia       |
|                     | Klarna Group PLC             | KLAR        | KLAR US          | Matthew C. O'Neill |
|                     | Mastercard Inc               | MA          | MA US            | Matthew C. O'Neill |
|                     | NMI Holdings                 | NMIH        | NMIH US          | Mihir Bhatia       |
|                     | OneMain Holdings, Inc.       | OMF         | OMF US           | Mihir Bhatia       |
|                     | Radian Group Inc             | RDN         | RDN US           | Mihir Bhatia       |
|                     | Rocket Companies, Inc.       | RKT         | RKT US           | Mihir Bhatia       |
|                     | Sallie Mae                   | SLM         | SLM US           | Caroline Latta     |
|                     | Synchrony Financial          | SYF         | SYF US           | Mihir Bhatia       |
|                     | Visa Inc.                    | V           | V US             | Matthew C. O'Neill |
|                     | WEX Inc.                     | WEX         | WEX US           | Mihir Bhatia       |
| <b>NEUTRAL</b>      |                              |             |                  |                    |
|                     | PayPal Holdings Inc          | PYPL        | PYPL US          | Matthew C. O'Neill |
|                     | Upstart                      | UPST        | UPST US          | Mihir Bhatia       |
| <b>UNDERPERFORM</b> |                              |             |                  |                    |
|                     | loanDepot Inc                | LDI         | LDI US           | Mihir Bhatia       |
|                     | MGIC Investment Corp.        | MTG         | MTG US           | Mihir Bhatia       |
|                     | Navient                      | NAVI        | NAVI US          | Caroline Latta     |
|                     | SoFi Technologies Inc        | SOFI        | SOFI US          | Mihir Bhatia       |

## US - Biopharma Coverage Cluster

| Investment rating | Company                   | BofA Ticker | Bloomberg symbol | Analyst           |
|-------------------|---------------------------|-------------|------------------|-------------------|
| <b>BUY</b>        |                           |             |                  |                   |
|                   | AbbVie                    | ABBV        | ABBV US          | Jason M. Gerberry |
|                   | Amylyx Pharmaceuticals    | AMLX        | AMLX US          | Jason M. Gerberry |
|                   | Arrowhead Pharmaceuticals | ARWR        | ARWR US          | Jason M. Gerberry |
|                   | Axsome Therapeutics       | AXSM        | AXSM US          | Jason M. Gerberry |
|                   | BioMarin                  | BMRN        | BMRN US          | Jason M. Gerberry |
|                   | Bristol-Myers Squibb      | BMJ         | BMJ US           | Jason M. Gerberry |
|                   | Eli Lilly                 | LLY         | LLY US           | Jason M. Gerberry |
|                   | Fractyl Health            | GUTS        | GUTS US          | Jason M. Gerberry |
|                   | Immunovant, Inc.          | IMVT        | IMVT US          | Dina Ramadane     |
|                   | Ionis                     | IONS        | IONS US          | Jason M. Gerberry |
|                   | Jazz Pharmaceuticals      | JAZZ        | JAZZ US          | Jason M. Gerberry |
|                   | LENZ Therapeutics         | LENZ        | LENZ US          | Jason M. Gerberry |
|                   | Merck                     | MRK         | MRK US           | Jason M. Gerberry |



**US - Biopharma Coverage Cluster**

| Investment rating   | Company                         | BofA Ticker | Bloomberg symbol | Analyst           |
|---------------------|---------------------------------|-------------|------------------|-------------------|
|                     | Mineralys Therapeutics          | MLYS        | MLYS US          | Jason M. Gerberry |
|                     | Oculus Holding AG               | OCS         | OCS US           | Jason M. Gerberry |
|                     | Relay Therapeutics              | RLAY        | RLAY US          | Chi M. Fong       |
|                     | Royalty Pharma                  | RPRX        | RPRX US          | Jason M. Gerberry |
|                     | Supernus Pharmaceuticals        | SUPN        | SUPN US          | Chi M. Fong       |
|                     | Tarsus Pharmaceuticals          | TARS        | TARS US          | Jason M. Gerberry |
|                     | Teva Pharmaceuticals            | TEVA        | TEVA US          | Jason M. Gerberry |
|                     | Vaxcyte Inc                     | PCVX        | PCVX US          | Jason M. Gerberry |
|                     | Vera Therapeutics, Inc          | VERA        | VERA US          | Dina Ramadane     |
|                     | Xenon Pharmaceuticals           | XENE        | XENE US          | Jason M. Gerberry |
| <b>NEUTRAL</b>      |                                 |             |                  |                   |
|                     | Johnson & Johnson               | JNJ         | JNJ US           | Jason M. Gerberry |
|                     | Liquidia Corporation            | LQDA        | LQDA US          | Jason M. Gerberry |
|                     | Pfizer                          | PFE         | PFE US           | Jason M. Gerberry |
|                     | Roivant                         | ROIV        | ROIV US          | Chi M. Fong       |
|                     | United Therapeutics Corporation | UTHR        | UTHR US          | Jason M. Gerberry |
| <b>UNDERPERFORM</b> |                                 |             |                  |                   |
|                     | Alkermes                        | ALKS        | ALKS US          | Jason M. Gerberry |
|                     | Amphastar Pharmaceuticals       | AMPH        | AMPH US          | Jason M. Gerberry |
|                     | Biohaven, Ltd.                  | BHVN        | BHVN US          | Dina Ramadane     |
|                     | Exelixis                        | EXEL        | EXEL US          | Jason M. Gerberry |
|                     | Harmony Biosciences             | HRMY        | HRMY US          | Jason M. Gerberry |
|                     | ProKidney Corp                  | PROK        | PROK US          | Dina Ramadane     |
|                     | Viartis Inc.                    | VTRS        | VTRS US          | Jason M. Gerberry |

**US – Hardlines and Broadlines Retail Coverage Cluster**

| Investment rating   | Company                        | BofA Ticker | Bloomberg symbol | Analyst             |
|---------------------|--------------------------------|-------------|------------------|---------------------|
| <b>BUY</b>          |                                |             |                  |                     |
|                     | Boot Barn                      | BOOT        | BOOT US          | Christopher Nardone |
|                     | Costco Wholesale Corporation   | COST        | COST US          | Christopher Nardone |
|                     | The Home Depot, Inc.           | HD          | HD US            | Christopher Nardone |
|                     | Walmart Inc                    | WMT         | WMT US           | Christopher Nardone |
|                     | Williams-Sonoma                | WSM         | WSM US           | Christopher Nardone |
| <b>NEUTRAL</b>      |                                |             |                  |                     |
|                     | BJ's Wholesale Club Holdings   | BJ          | BJ US            | Christopher Nardone |
|                     | Lowe's Companies, Inc.         | LOW         | LOW US           | Christopher Nardone |
|                     | Tractor Supply Company         | TSCO        | TSCO US          | Christopher Nardone |
| <b>UNDERPERFORM</b> |                                |             |                  |                     |
|                     | Floor and Decor Holdings, Inc. | FND         | FND US           | Christopher Nardone |
|                     | Target Corp.                   | TGT         | TGT US           | Christopher Nardone |

**US - Networking and Software Coverage Cluster**

| Investment rating | Company         | BofA Ticker | Bloomberg symbol | Analyst         |
|-------------------|-----------------|-------------|------------------|-----------------|
| <b>BUY</b>        |                 |             |                  |                 |
|                   | Adobe           | ADBE        | ADBE US          | Matt Bullock    |
|                   | Akamai          | AKAM        | AKAM US          | Tal Liani       |
|                   | Amdocs          | DOX         | DOX US           | Tal Liani       |
|                   | Arista Networks | ANET        | ANET US          | Tal Liani       |
|                   | Asana           | ASAN        | ASAN US          | Matt Bullock    |
|                   | Autodesk        | ADSK        | ADSK US          | Tomer Zilberman |
|                   | Bentley Systems | BSY         | BSY US           | Tomer Zilberman |
|                   | Box Inc         | BOX         | BOX US           | Matt Bullock    |
|                   | Ciena           | CLEN        | CLEN US          | Tal Liani       |
|                   | Cisco Systems   | CSCO        | CSCO US          | Tal Liani       |
|                   | Cloudflare      | NET         | NET US           | Tal Liani       |
|                   | Coreweave       | CRWW        | CRWW US          | Tal Liani       |





**US - Networking and Software Coverage Cluster**

| Investment rating | Company                | BofA Ticker | Bloomberg symbol | Analyst         |
|-------------------|------------------------|-------------|------------------|-----------------|
|                   | Datadog Inc            | DDOG        | DDOG US          | Koji Ikeda, CFA |
|                   | Dynatrace              | DT          | DT US            | Koji Ikeda, CFA |
|                   | Extreme Networks, Inc. | EXTR        | EXTR US          | Tomer Zilberman |
|                   | Fortinet               | FTNT        | FTNT US          | Tal Liani       |
|                   | Global-e Online Ltd.   | GLBE        | GLBE US          | Matt Bullock    |
|                   | Intuit                 | INTU        | INTU US          | Tal Liani       |
|                   | JFrog Ltd              | FROG        | FROG US          | Koji Ikeda, CFA |
|                   | Microsoft Corporation  | MSFT        | MSFT US          | Tal Liani       |
|                   | MongoDB Inc            | MDB         | MDB US           | Koji Ikeda, CFA |
|                   | Motorola Solutions     | MSI         | MSI US           | Tomer Zilberman |
|                   | Nebius Group N.V.      | NBIS        | NBIS US          | Tal Liani       |
|                   | Oracle Corporation     | ORCL        | ORCL US          | Tal Liani       |
|                   | Palo Alto Networks     | PANW        | PANW US          | Tal Liani       |
|                   | Samsara                | IOT         | IOT US           | Matt Bullock    |
|                   | SentinelOne, Inc.      | S           | S US             | Tal Liani       |
|                   | ServiceNow             | NOW         | NOW US           | Tal Liani       |
|                   | Shopify, Inc.          | SHOP        | SHOP US          | Matt Bullock    |
|                   | Snowflake              | SNOW        | SNOW US          | Koji Ikeda, CFA |
|                   | Twilio                 | TWLO        | TWLO US          | Koji Ikeda, CFA |
|                   | Zeta Global            | ZETA        | ZETA US          | Matt Bullock    |
|                   | Zscaler                | ZS          | ZS US            | Tal Liani       |

**NEUTRAL**

|  |                                   |      |         |                 |
|--|-----------------------------------|------|---------|-----------------|
|  | Amplitude, Inc.                   | AMPL | AMPL US | Koji Ikeda, CFA |
|  | Atlassian Corp                    | TEAM | TEAM US | Koji Ikeda, CFA |
|  | Check Point Software Technologies | CHKP | CHKP US | Tal Liani       |
|  | CrowdStrike Holdings Inc.         | CRWD | CRWD US | Tal Liani       |
|  | Elastic NV                        | ESTC | ESTC US | Koji Ikeda, CFA |
|  | Figma                             | FIG  | FIG US  | Matt Bullock    |
|  | GitLab Inc.                       | GTLB | GTLB US | Koji Ikeda, CFA |
|  | Monday.com                        | MNDY | MNDY US | Matt Bullock    |
|  | SailPoint                         | SAIL | SAIL US | Tal Liani       |
|  | Workday Inc.                      | WDAY | WDAY US | Tal Liani       |

**UNDERPERFORM**

|  |                          |       |         |                 |
|--|--------------------------|-------|---------|-----------------|
|  | BlackLine, Inc.          | BL    | BL US   | Tomer Zilberman |
|  | C3.ai                    | AI    | AI US   | Koji Ikeda, CFA |
|  | Coveo                    | YCHO  | CVO CN  | Koji Ikeda, CFA |
|  | Docusign Inc             | DOCU  | DOCU US | Matt Bullock    |
|  | Dropbox                  | DBX   | DBX US  | Matt Bullock    |
|  | F5 Inc                   | FFIV  | FFIV US | Tal Liani       |
|  | Fastly                   | FSLY  | FSLY US | Tal Liani       |
|  | HubSpot, Inc.            | HUBS  | HUBS US | Matt Bullock    |
|  | Lightspeed Commerce Inc. | LSPD  | LSPD US | Matt Bullock    |
|  | Lightspeed Commerce Inc. | YLSPD | LSPD CN | Matt Bullock    |
|  | Okta Inc                 | OKTA  | OKTA US | Tal Liani       |
|  | PagerDuty                | PD    | PD US   | Koji Ikeda, CFA |
|  | Salesforce Inc           | CRM   | CRM US  | Tal Liani       |
|  | UiPath                   | PATH  | PATH US | Koji Ikeda, CFA |
|  | ZoomInfo                 | GTM   | GTM US  | Matt Bullock    |

# Disclosures

## Important Disclosures

**Equity Investment Rating Distribution: Autos Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 75    | 56.39%  | Buy                                      | 41    | 54.67%  |
| Hold              | 28    | 21.05%  | Hold                                     | 18    | 64.29%  |
| Sell              | 30    | 22.56%  | Sell                                     | 17    | 56.67%  |



**Equity Investment Rating Distribution: Banks Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 119   | 54.84%  | Buy                                      | 104   | 87.39%  |
| Hold              | 57    | 26.27%  | Hold                                     | 44    | 77.19%  |
| Sell              | 41    | 18.89%  | Sell                                     | 32    | 78.05%  |

**Equity Investment Rating Distribution: Building Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 45    | 53.57%  | Buy                                      | 27    | 60.00%  |
| Hold              | 15    | 17.86%  | Hold                                     | 9     | 60.00%  |
| Sell              | 24    | 28.57%  | Sell                                     | 7     | 29.17%  |

**Equity Investment Rating Distribution: Financial Services Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 165   | 55.37%  | Buy                                      | 109   | 66.06%  |
| Hold              | 80    | 26.85%  | Hold                                     | 53    | 66.25%  |
| Sell              | 53    | 17.79%  | Sell                                     | 36    | 67.92%  |

**Equity Investment Rating Distribution: Health Care Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 233   | 60.36%  | Buy                                      | 133   | 57.08%  |
| Hold              | 77    | 19.95%  | Hold                                     | 44    | 57.14%  |
| Sell              | 76    | 19.69%  | Sell                                     | 28    | 36.84%  |

**Equity Investment Rating Distribution: Media & Entertainment Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 31    | 51.67%  | Buy                                      | 16    | 51.61%  |
| Hold              | 16    | 26.67%  | Hold                                     | 8     | 50.00%  |
| Sell              | 13    | 21.67%  | Sell                                     | 6     | 46.15%  |

**Equity Investment Rating Distribution: Retailing Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 82    | 55.78%  | Buy                                      | 35    | 42.68%  |
| Hold              | 35    | 23.81%  | Hold                                     | 21    | 60.00%  |
| Sell              | 30    | 20.41%  | Sell                                     | 17    | 56.67%  |

**Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 243   | 60.60%  | Buy                                      | 123   | 50.62%  |
| Hold              | 87    | 21.70%  | Hold                                     | 45    | 51.72%  |
| Sell              | 71    | 17.71%  | Sell                                     | 21    | 29.58%  |

**Equity Investment Rating Distribution: Transport/Infrastructure Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 74    | 52.48%  | Buy                                      | 44    | 59.46%  |
| Hold              | 37    | 26.24%  | Hold                                     | 19    | 51.35%  |
| Sell              | 30    | 21.28%  | Sell                                     | 13    | 43.33%  |

**Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)**

| Coverage Universe | Count | Percent | Inv. Banking Relationships <sup>R1</sup> | Count | Percent |
|-------------------|-------|---------|------------------------------------------|-------|---------|
| Buy               | 1987  | 56.11%  | Buy                                      | 1190  | 59.89%  |
| Hold              | 797   | 22.51%  | Hold                                     | 496   | 62.23%  |
| Sell              | 757   | 21.38%  | Sell                                     | 391   | 51.65%  |

<sup>R1</sup> Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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| Investment rating | Total return expectation (within 12-month period of date of initial rating) | Ratings dispersion guidelines for coverage cluster <sup>R2</sup> |
|-------------------|-----------------------------------------------------------------------------|------------------------------------------------------------------|
| Buy               | ≥ 10%                                                                       | ≤ 70%                                                            |
| Neutral           | ≥ 0%                                                                        | ≤ 30%                                                            |
| Underperform      | N/A                                                                         | ≥ 20%                                                            |

<sup>R2</sup>Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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